



2017

**Trial Higher School Certificate  
Examination**

**ECONOMICS**

Date: Mon 14 August (AM)

Outcomes Assessed: All

**General Instructions**

- Reading Time: **5 minutes**
- Working Time: **3 hours**
- Write using **black pen**.
- Write your **candidate number** on the top of each page (or front of each booklet).
- **All** work and this question paper to be collected in **one** bundle.
- Board-approved calculators **may** be used.
- Do **NOT** write in margins – Ask for extra booklets if you need more space for your answers

**Structure of Paper & Instructions**

- **Total Marks: 100**
- **Section I (20 marks):**  
Answer all questions in the Answer Booklet provided. Select the alternative A, B, C or D that most fully and correctly answers the question.
- **Section II (40 marks):**  
Answer all questions in the Answer Booklet provided.
- **Section III (20 marks):**  
Attempt one question from this section. Answer this question after carefully reading the stimulus material.
- **Section IV (20 marks):**  
Attempt one question from this section.

| CHECKLIST                                |
|------------------------------------------|
| Each boy should have the following:      |
| 1 Question Paper                         |
| 1 Multiple Choice & Short Answer Booklet |
| 2 Writing Booklets                       |

## SECTION I

20 marks

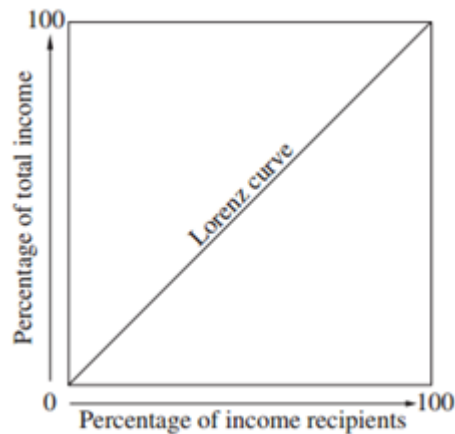
Attempt questions 1 - 20

Spend no more than 35 mins for this section

Use the multiple-choice answer sheet on the front page of the  
Answer Booklet for Questions 1 - 20

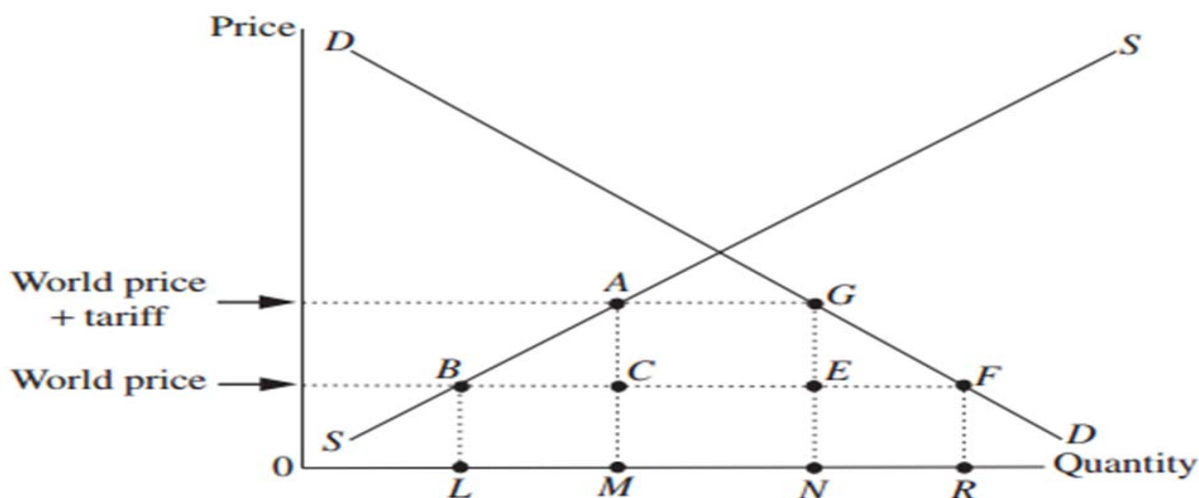
1. Which economic objectives would a government find it most difficult to achieve simultaneously?
  - (A) Low inflation and greater international competitiveness.
  - (B) Increase in employment and a more even distribution of income.
  - (C) Lower unemployment and high economic growth.
  - (D) Environmental sustainability and high economic growth.
  
2. Which of the following statements is not true regarding macroeconomic policies?
  - (A) Fiscal policy has a shorter impact lag but longer implementation lag compared to monetary policy.
  - (B) In the current policy mix, fiscal policy plays a more dominant role in terms of economic management than monetary policy.
  - (C) Monetary policy is more effective constraining aggregate demand than expanding it.
  - (D) Monetary policy has a blunt effect and is less politically influenced compared to fiscal policy.

Question 3 relates to the graph below showing income distribution for a particular country:



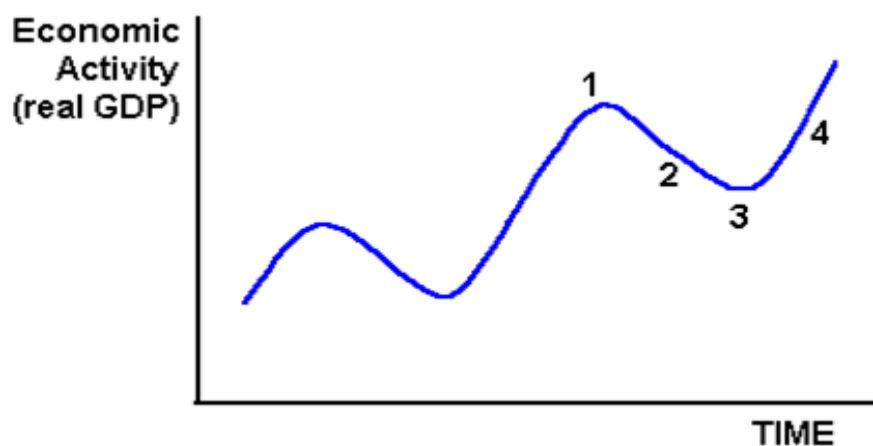
3. What is the value of the gini coefficient for this country?
  - (A) 1.
  - (B) -1.
  - (C) 0.
  - (D) 0.5.

Question 4 relates to the graph below showing the impact of a tariff:



4. Which area(s) represent the loss in income for foreign producers following the introduction of the tariff?
- (A) AGEF.  
 (B) CEMN.  
 (C) BCML + EFRN.  
 (D) ABC + GEF.

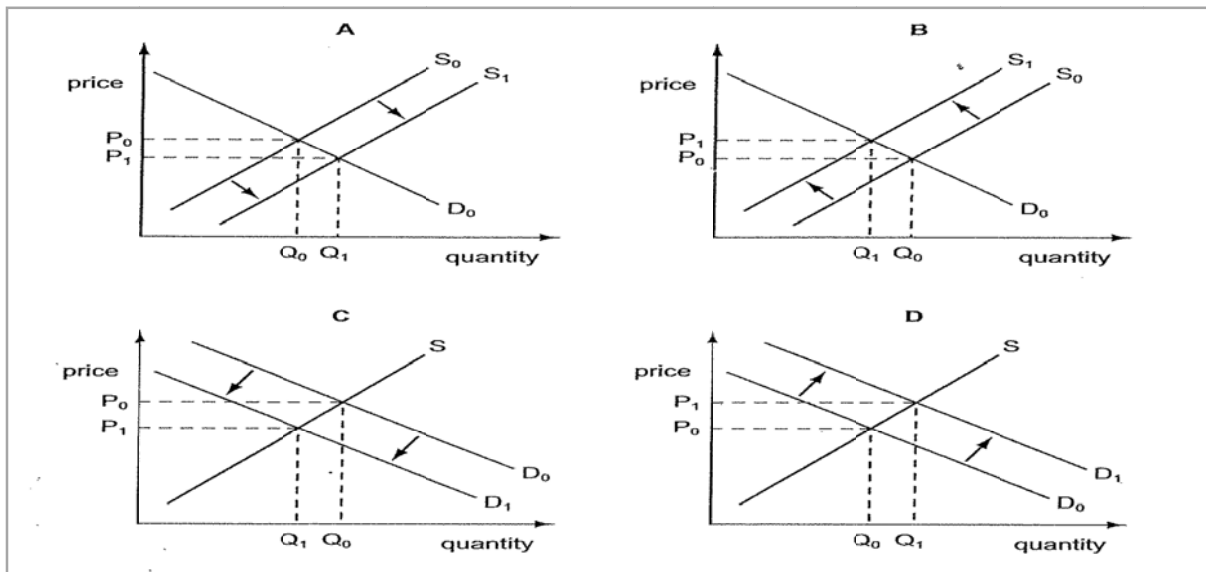
Question 5 relates to the following graph showing a business cycle for a particular country:



5. What combination of policies would be most appropriate for a government at point 2?

|     | Fiscal Policy          | Monetary Policy       |
|-----|------------------------|-----------------------|
| (A) | Smaller budget surplus | Higher interest rates |
| (B) | Smaller budget deficit | Lower interest rates  |
| (C) | Larger budget surplus  | Higher interest rates |
| (D) | Larger budget deficit  | Lower interest rates  |

Question 6 relates to the following set of graphs highlighting possible changes in the demand for and supply of shirts made by Australian owned companies:



6. Which graph best represents the impact following a Government decision to introduce a quota on imported foreign shirts?

- (A) Graph A.
- (B) Graph B.
- (C) Graph C.
- (D) Graph D.

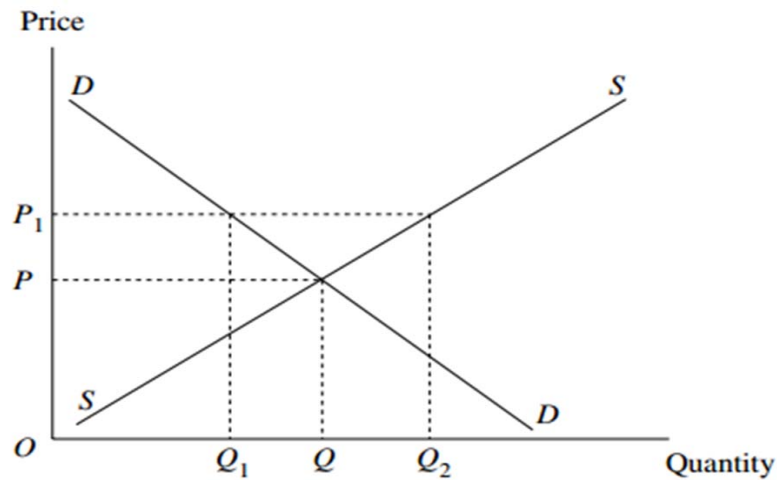
Question 7 relates to the following economic indicators of a particular country:

|                        | Year 1 | Year 2 | Year 3 |
|------------------------|--------|--------|--------|
| Income                 | 200    | 400    | 700    |
| Consumption            | 100    | 300    | 500    |
| Investment             | 20     | 30     | 100    |
| Government Expenditure | 40     | 20     | 60     |
| Exports                | 40     | 60     | 60     |
| Imports                | ?      | ?      | ?      |

7. In which year(s) do net exports provide the greatest nominal injection?

- (A) Year 1.
- (B) Year 2.
- (C) Year 3.
- (D) Years 1 and 3 equally.

Questions 8 & 9 relate to the graph below which shows the demand and supply for the Australian dollar in terms of US dollars under a fixed exchange rate:



8. How many Australian dollars would the RBA need to buy to maintain the price of an Australian dollar at  $OP_1$ ?
- (A)  $Q_1Q$ .  
 (B)  $Q_1Q_2$ .  
 (C)  $QQ_2$ .  
 (D)  $0Q_2$ .
9. Which of the following statements is true with regards to maintaining the value of the Australian Dollar at  $OP_1$ ?
- (A) The RBA does not have an unlimited supply of foreign currency.  
 (B) The RBA will cause inflation when it buys the necessary Australian Dollars.  
 (C)  $OP_1$  will ensure that Australian exports remain internationally competitive.  
 (D)  $OP_1$  will reduce Australia's terms of trade.

Question 10 is based on the following table of information for a three sector economy:

|                             | Year 1    |
|-----------------------------|-----------|
| Marginal Propensity to Save | 0.2       |
| Investment                  | \$1000 bn |
| Consumption                 | \$1500 bn |
| Income                      | \$2500 bn |

10. If investment increases to \$1100 bn, what would be the new level of income in Year 2?
- (A) \$2625 bn  
 (B) \$2667 bn  
 (C) \$3000 bn  
 (D) \$5500 bn

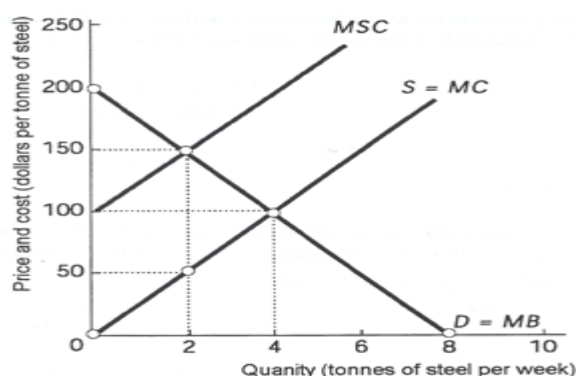
11. If the headline rate of inflation had been under 2% for some time, what action is the Reserve Bank of Australia most likely to take in theory, *ceteris paribus*?
- (A) Expand the economy by encouraging a higher exchange rate.  
 (B) Nothing as inflation is under control.  
 (C) Buy second-hand Commonwealth Government Securities.  
 (D) Adopt an expansionary stance by raising the cash rate.

Question 12 relates to the following table of figures for an economy under a floating exchange rate:

|                                        | \$A million |
|----------------------------------------|-------------|
| Exports (Goods)                        | 140         |
| Imports (Goods)                        | 170         |
| Net Primary & Secondary Income Credits | 50          |
| Net Primary & Secondary Income Debits  | 60          |
| Capital Account                        | 10          |
| Financial Account                      | 60          |
| Balancing Item                         | - 10        |

12. What is the value of the Balance of Goods & Services for this economy?
- (A) - \$10m.  
 (B) - \$20 m.  
 (C) - \$30 m.  
 (D) - \$50 m.

Question 13 relates to the graph below which shows steel production in Australia, using the following abbreviations: MB = Marginal Private Benefit; MC = Marginal Private Cost; MSC = Marginal Social Cost.



13. What tax (per tonne of steel) is needed for Australia to reach the point of social optimum?
- (A) \$50.  
 (B) \$100.  
 (C) \$150.  
 (D) \$200.

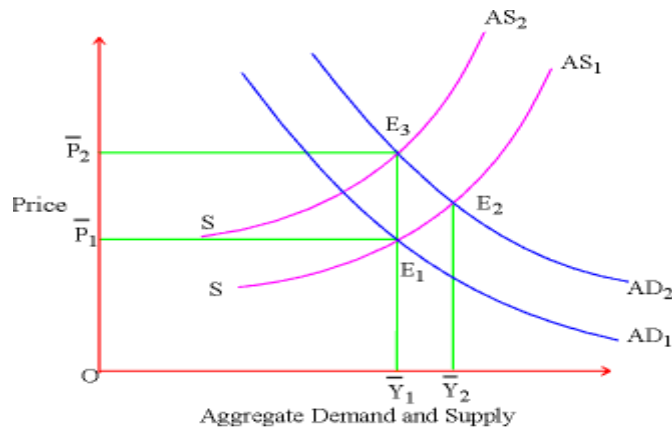
Question 14 is based on the following table of information for an economy:

| Year | Money GDP (\$ bn) | CPI |
|------|-------------------|-----|
| 1    | 500               | 100 |
| 2    | 600               | 110 |
| 3    | 700               | 120 |

14. What was the rate of economic growth in Year 3?

- (A) 1.67%.
- (B) 5.45%.
- (C) 5.83%.
- (D) 6.97%.

Question 15 relates to the following diagram for an economy:



15. Which of the following combinations of changes would most likely cause the economy's equilibrium position to shift from  $E_1$  to  $E_3$ , ceteris paribus?

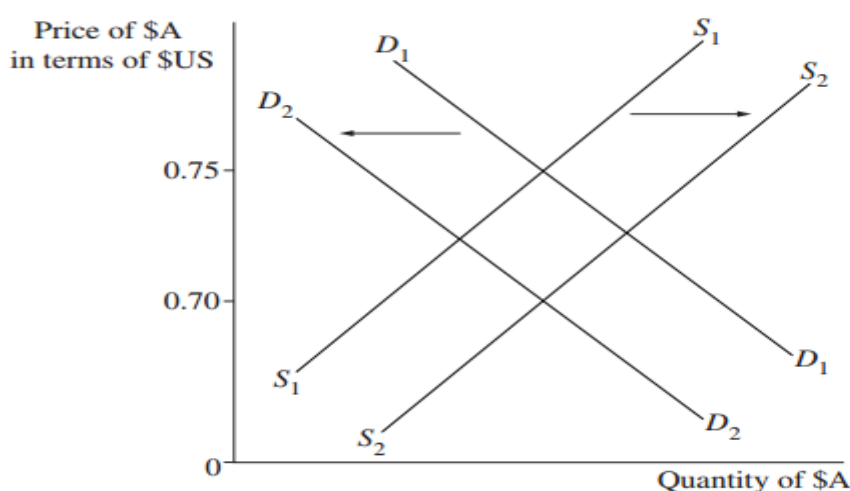
|     |                              |                                         |
|-----|------------------------------|-----------------------------------------|
| (A) | Lower labour productivity    | Rise in the marginal propensity to save |
| (B) | Lower interest rates         | Lower Government spending               |
| (C) | Increase in taxation         | Higher participation rates              |
| (D) | Increase in the minimum wage | Fall in the level of imports            |

16. Which of the following conditions would improve Australia's international competitiveness?

- (A) A decline in labour productivity.
- (B) A rise in the value of the \$A.
- (C) A fall in the general level of wages.
- (D) A rise in the inflation rate.

17. Where would a pension received by an English citizen living in Australia be recorded in Australia's Balance of Payments?
- (A) As a debit on the Current account.  
 (B) As a credit on the Current account.  
 (C) As a debit on the Capital and Financial account.  
 (D) As a credit on the Capital and Financial account.

Question 18 refers to the following diagram showing the demand for and supply of the Australian dollar on the foreign exchange market:



18. Which of the following combinations of changes would most likely cause the value of one Australian dollar to change from \$US 0.75 to \$US0.70, ceteris paribus?

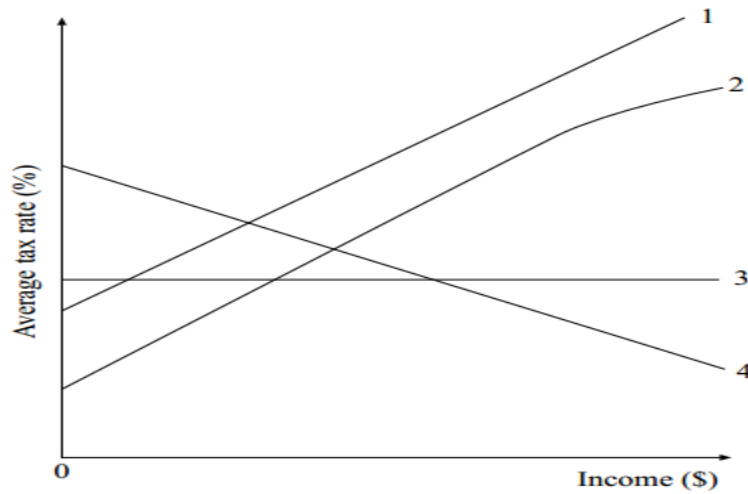
|     |                                                    |                                                              |
|-----|----------------------------------------------------|--------------------------------------------------------------|
| (A) | Lower exports                                      | Speculators expecting the \$A to fall                        |
| (B) | Lower imports                                      | Fall in Australia's interest rates                           |
| (C) | Greater investment overseas by Australians         | Higher dividends paid to Australian owners of foreign assets |
| (D) | Higher profits made by Australian mining companies | Greater foreign investment into Australia                    |

19. Which of the following statements is true regarding the nature of goods?

- (A) Goods whose marginal cost of production is zero are generally non-rival and non-excludable.  
 (B) Demerit goods are characterized by their associated positive externalities.  
 (C) Goods which have negative externalities are often subsidised.  
 (D) Goods which are easily excludable in their nature are best provided by the government.



Question 20 refers to the following diagram showing the structure of various taxes:



20. Which of the above taxes best represents the Goods and Services Tax?
- (A) Tax 1  
(B) Tax 2  
(C) Tax 3  
(D) Tax 4

**END OF SECTION I**

**SECTION II**  
**40 marks**

**The questions for Section II are contained in the Answer Booklet**

**Please complete in the spaces provided**

**Marks for each part of the question are as indicated**

**Spend no more than 1 hour and 15 minutes on this section**

### SECTION III

20 marks

Attempt EITHER Question 25 OR Question 26

Allow at least 35 minutes for this question

Answer your chosen question in a Writing Booklet

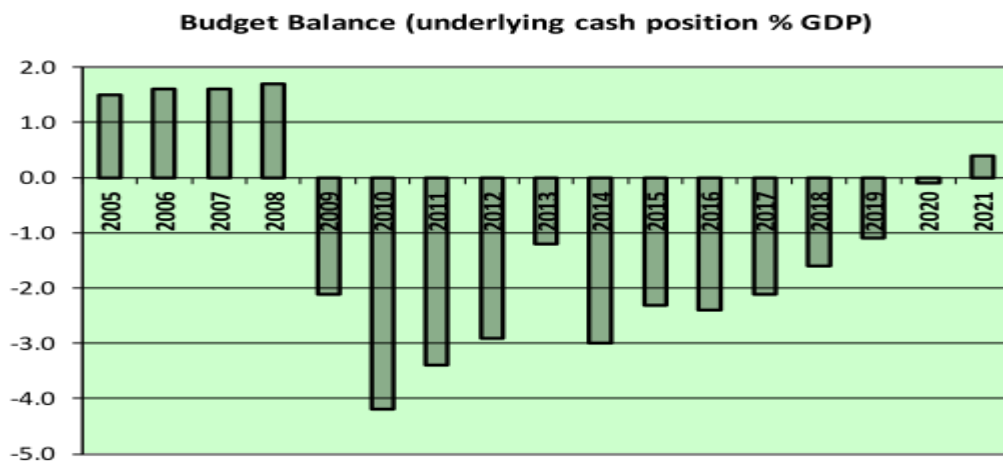
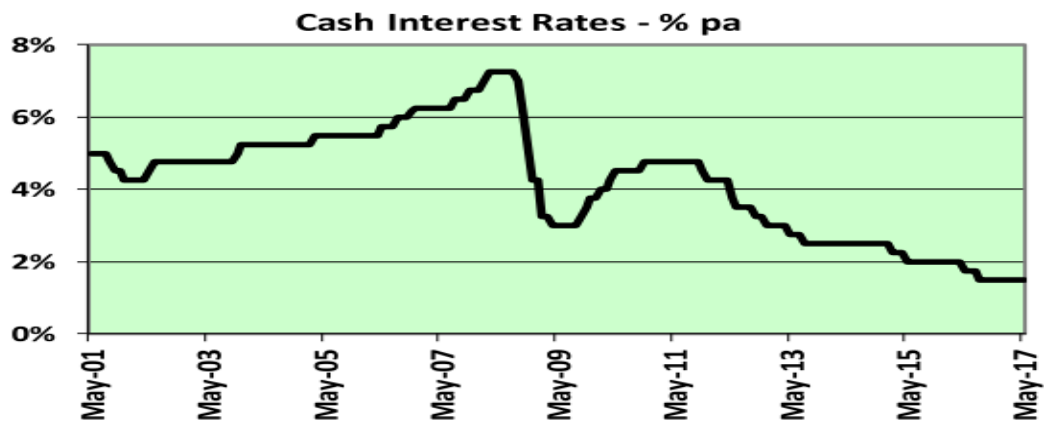
In your answer you will be assessed on how well you:

- Demonstrate knowledge and understanding relevant to the question
- Use the information provided
- Apply relevant economic terms, concepts, relationships and theory
- Present a sustained, logical and cohesive response

### EITHER

25. Examine the effectiveness of Australian macroeconomic policies in achieving their objectives.

‘A period of relative stability in key Australian macro-economic policy positions appears set to continue’  
(*Plain English*, May 2017)



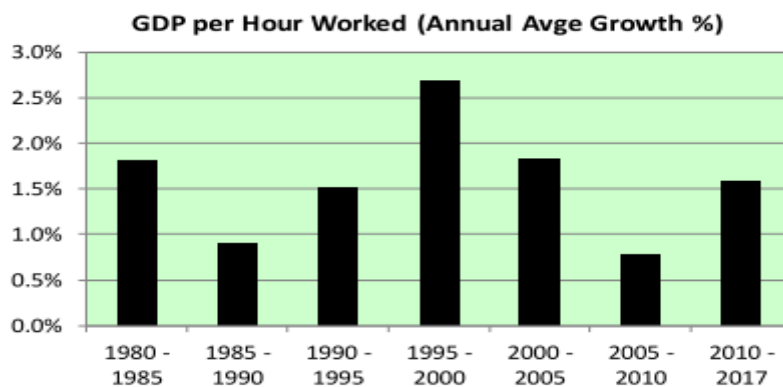
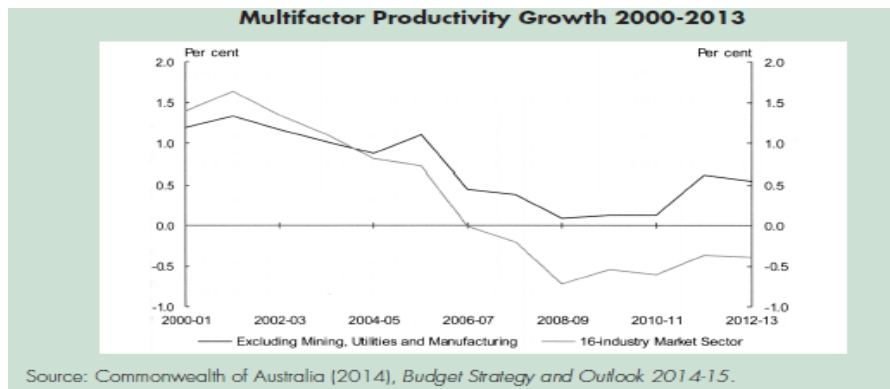
OR

26. Examine the effectiveness of Australian microeconomic reforms in achieving their objectives.

"Australia's growth in multifactor productivity (MFP) has been extremely weak on average over the last decade. In contrast to labour productivity MFP is a more comprehensive measure of productivity as it captures how efficiently producers use both the key inputs of labour and capital.

The slowdown in productivity growth since the early 2000s has partly reflected the high investment activity in the resources and utilities sectors. This investment of capital and labour has long lead times before increased output occurs. Part of the slowdown may also reflect the fading impact of past microeconomic reforms and that there have been fewer policy reforms since the early 2000s."

Source: Commonwealth of Australia (2014), *Budget Strategy and Outlook 2014-15*.



Source: *Plain English Economics*. Australian Bureau of Statistics 5206.

END OF SECTION III

SECTION IV IS OVERLEAF

**SECTION IV**

**20 marks**

**Attempt EITHER Question 27 OR Question 28**

**Allow at least 35 minutes for this question**

**Answer your chosen question in a separate Writing Booklet**

In your answer you will be assessed on how well you:

- Demonstrate knowledge and understanding relevant to the question
- Apply relevant economic terms, concepts, relationships and theory
- Present a sustained, logical and cohesive response

**EITHER**

27. Discuss the causes of changes in Australia's external stability in recent times.

**OR**

28. Discuss the role of the government in attempting to achieve environmental sustainability in Australia.

**END OF THE EXAMINATION**

# **SGS 2017 TRIAL HSC ECONOMICS ANSWER BOOKLET FOR SECTIONS I AND II**

Candidate Number: .....

## **SECTION I**

(1)      A      B      C      D

(2)      A      B      C      D

(3)      A      B      C      D

(4)      A      B      C      D

(5)      A      B      C      D

(6)      A      B      C      D

(7)      A      B      C      D

(8)      A      B      C      D

(9)      A      B      C      D

(10)     A      B      C      D

(11)    A      B      C      D

(12)    A      B      C      D

(13)    A      B      C      D

(14)    A      B      C      D

(15)    A      B      C      D

(16)    A      B      C      D

(17)    A      B      C      D

(18)    A      B      C      D

(19)    A      B      C      D

(20)    A      B      C      D

## SECTION II

40 marks

Marks for each part of the question are indicated  
Spend no more than 1 hour and 15 minutes on this section  
Answer the questions in the spaces provided below

### Question 21

- (a) Explain the differing roles of the International Monetary Fund and the World Bank. (2 marks)

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- (b) With reference to one example, explain the concept of a trade bloc. (2 marks)

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- (c) State the full name of 2 multilateral trade agreements of which Australia is a member. (2 marks)

i)

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ii)

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- (d) Compare the effectiveness of multilateral trade agreements with that of bilateral trade agreements. (4 marks)

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(Continue your answer on the next page)

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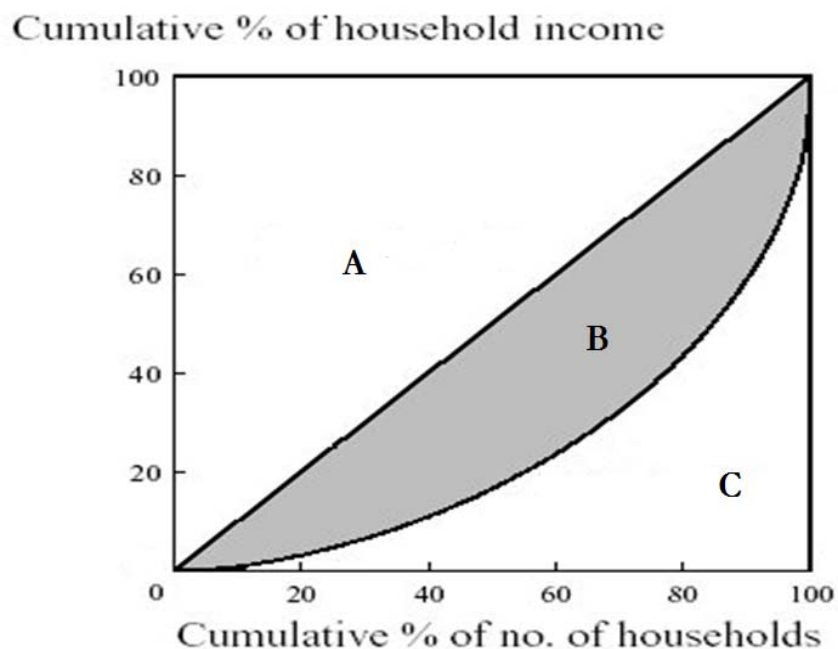
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### Question 22

Parts (a) & (b) of this question refer to the graph below showing the distribution of income in an economy:



- (a) **On the diagram above**, draw another Lorenz Curve that would represent the distribution of income following a fall in unemployment, *ceteris paribus*. (1 mark)

- (b) How could the Gini Coefficient be calculated from the diagram above? (1 mark)

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(Question 22 continues overleaf)

- (c) Explain 2 distinct costs that occur with rising inequality. (4 marks)

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- (d) Explain how 2 policies announced in the 2017/18 Federal Budget might influence Australia's distribution of income. (4 marks)

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(Question 23 starts on the next page)



**Question 23**

Parts (a) and (b) of this question refer to the table below showing relevant indicators for an economy:

| Year | Export Price Index | Australian Dollar | Import Price Index | Japanese Yen |
|------|--------------------|-------------------|--------------------|--------------|
| 1    | 100                | 1.00              | 100                | 100          |
| 2    | 120                | 1.10              | 105                | 100          |
| 3    | 125                | 1.20              | 115                | 100          |

- (a) Describe the change in the value of the Australian dollar from Year 2 to Year 3. (1 mark)

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- (b) Calculate the terms of trade in Year 3. (1 mark)

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- (c) Explain the likely impacts of a rising terms of trade on Australia's Balance of Goods & Services and the Australian dollar. (4 marks)

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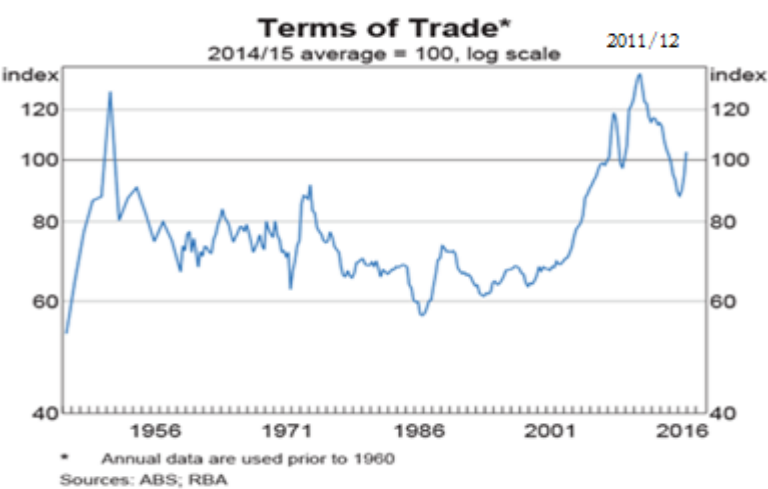
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(Question 23 continues overleaf)

Part (d) of this question refers to the graph below showing Australia's Terms of Trade:



(d) Explain the reasons for the trends in Australia's terms of trade since 2011/12. (4 marks)

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(Question 24 starts on the next page)

**Question 24**

Parts (a), (b) & (c) of this question refer to the table below showing relevant indicators for an economy:

|        | Consumer Price Index | Nominal GDP (\$ bn) | Labour Force (m) | Unemployed (m) | Population (m) | Working Age Population (m) |
|--------|----------------------|---------------------|------------------|----------------|----------------|----------------------------|
| Year 1 | 100                  | 500                 | 150              | 15             | 200            | 180                        |
| Year 2 | 105                  | 550                 | 155              | 20             | 205            | 185                        |
| Year 3 | 110                  | 600                 | 160              | 25             | 210            | 190                        |

(a) Calculate the inflation rate in Year 3. (1 mark)

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(b) Calculate the labour force participation rate in Year 2. (1 mark)

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(c) Calculate the unemployment rate in Year 1. (1 mark)

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(d) Explain the impacts of rising unemployment on the Federal Government's Budget outcome. (3 marks)

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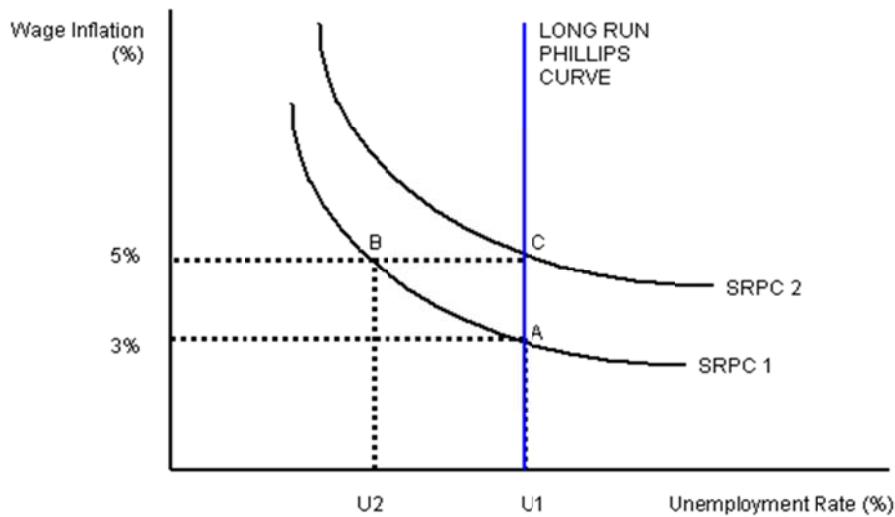
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Part (d) of this question refers to the diagram below which represents both the Short Run (SRPC 1 and SRPC 2) and Long Run Phillips Curves for an economy:



- (d) Explain the differing implications for government policies with reference to both the short and long run Phillips Curves. (4 marks)

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**END OF SECTION II**

**SECTIONS III & IV ARE BACK ON THE QUESTION PAPER**

SGS

# SGS 2017 TRIAL HSC ECONOMICS ANSWER BOOKLET FOR SECTIONS I AND II

Candidate Number: .....

## SECTION I

- |                             |                             |
|-----------------------------|-----------------------------|
| (1)    A    B    C <u>D</u> | (11)   A    B <u>C</u> D    |
| (2)    A <u>B</u> C    D    | (12)   A    B    C <u>D</u> |
| (3)    A    B <u>C</u> D    | (13)   A <u>B</u> C    D    |
| (4)    A    B <u>C</u> D    | (14)   A    B    C <u>D</u> |
| (5)    A    B    C <u>D</u> | (15)   A    B    C <u>D</u> |
| (6)    A    B    C <u>D</u> | (16)   A    B <u>C</u> D    |
| (7)    A <u>B</u> C    D    | (17)   A <u>B</u> C    D    |
| (8)    A <u>B</u> C    D    | (18) <u>A</u> B    C    D   |
| (9) <u>A</u> B    C    D    | (19) <u>A</u> B    C    D   |
| (10)   A    B <u>C</u> D    | (20)   A    B    C <u>D</u> |

## 2017 SGS Annual- Short Answer Criteria

### Q 21

(a) Explain the differing roles of the IMF and World Bank.

| Criteria                                                  | Marks |
|-----------------------------------------------------------|-------|
| <i>Correctly explained the role of both organisations</i> | 2     |
| <i>Correctly explained the role of one organisation</i>   | 1     |

(b) With reference to one example, explain the concept of a trade bloc.

| Criteria                                                              | Marks |
|-----------------------------------------------------------------------|-------|
| <i>Correctly named and accurately defined a trade bloc</i>            | 2     |
| <i>Named a trade bloc but failed to accurately define the concept</i> | 1     |

Eg EU or NAFTA. Note a trade bloc does not exclude non-members from trade, it excludes them from the preferential free trade of the members via a common tariff.

(c) State the full name of 2 multilateral trade agreements of which Australia is a member.

| Criteria                                                                       | Marks |
|--------------------------------------------------------------------------------|-------|
| <i>Correctly named two multilateral trade agreement where Aust is a member</i> | 2     |
| <i>Correctly named one multilateral trade agreement where Aust is a member</i> | 1     |

Accepted answers: AANZFTA, APEC Forum, WTO, TPP (we have signed up to this but it is yet to come into effect).

\*Careful - full names required but leeway given on this occasion.

(d) Compare the effectiveness of multilateral trade agreements with that of bilateral trade agreements.

| Criteria                                                                                                                                                                                                     | Marks |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------|
| <i>Examined 4 clearly different aspects that impact on the effectiveness of these types of trade agreements</i>                                                                                              | 4     |
| <i>Examined 3 clearly different aspects that impact on the effectiveness of these types of trade agreements</i>                                                                                              | 3     |
| <i>Examined 2 different aspects that impact on the effectiveness of these types of trade agreements or merely listing the same argument as an advantage of one agreement and a disadvantage of the other</i> | 2     |
| <i>General or confused discussion</i>                                                                                                                                                                        | 1     |

Multi effective – increased comparative advantage; greater impacts in terms of lower prices, productivity, long term growth.

Bilateral – easier to negotiate

Disadvantages – spaghetti bowl of agreements; costly to set each up; trade diversion rather than trade increasing

### Q 22

(a) Draw more equitable Lorenz curve

| Criteria                                          | Marks |
|---------------------------------------------------|-------|
| <i>Line drawn anywhere inside the shaded area</i> | 1     |

(b) How could the Gini Coefficient be calculated from the diagram above?

| Criteria                         | Marks |
|----------------------------------|-------|
| $\frac{B}{B+C}$ or $\frac{B}{A}$ | 1     |

(c) Explain two distinct costs that occur with rising inequality.

| Criteria                                                              | Marks |
|-----------------------------------------------------------------------|-------|
| Correctly named and explained two costs of rising inequality          | 4     |
| Correctly named two costs but some confusion in explaining such costs | 3     |
| Correctly named and explained one cost of rising inequality           | 2     |
| General or confused discussion                                        | 1     |

Decreased total utility; decreased consumption leading to decreased growth; strain on the budget; class division; crime; increased poverty etc

(d) Explain how two policies announced in the 2017/18 Federal Budget might influence Australia's distribution of income.

| Criteria                                                                                           | Marks |
|----------------------------------------------------------------------------------------------------|-------|
| Correctly named two policies and explained their impact on income distribution                     | 4     |
| Correctly named two policies and but some confusion explaining their impact on income distribution | 3     |
| Correctly named one policy and explained its impact on income distribution                         | 2     |
| General or confused discussion                                                                     | 1     |

Regressive measures – removal of 2% deficit reduction levy; increased student fees; increased tobacco excise; cuts to family benefits.

Progressive elements – 2.5% Medicare levy is proportional but funds the NDIS which mainly assists low Y earners; Gonski 2.0 will help more students from low Y backgrounds.

## Q 23

(a) Describe the change in the \$A from yr 2 to yr 3

| Criteria     | Marks |
|--------------|-------|
| Depreciation | 1     |

Yr 2 : \$A = 91 yen; Yr 3 \$A = 83 yen

(b) Calculate the ToT in year 3

| Criteria             | Marks |
|----------------------|-------|
| 108.7 (accepted 109) | 1     |

(c) Explain the likely impacts of a rising ToT on BOGS and \$A

| Criteria                                                                                  | Marks |
|-------------------------------------------------------------------------------------------|-------|
| Correctly named and explained the impacts of both BOGS and the \$A                        | 4     |
| Correctly named the likely impacts on the BOGS and \$A but some confusion explaining why. | 3     |
| Errors in assessing the impacts of rising ToT on BOGS and/or \$A, or weak reasoning       | 2     |
| General or confused discussion                                                            | 1     |

ToT analysis normally assumes volumes unchanged therefor BOGS improves as  $X_p$  increase relative to  $M_p$ .

\$A rises due to more \$A needed to purchase our more expensive goods (increased D).

(d) Explain the reasons for the trends in Australia's ToT since 2011/12

| Criteria                                                                                                                      | Marks |
|-------------------------------------------------------------------------------------------------------------------------------|-------|
| <i>Correctly identified the two distinct trends and clear explanations for trends</i>                                         | 4     |
| <i>Correctly identified the overall downward trend and clearly explained this trend but not the recent improvement in ToT</i> | 3     |
| <i>Errors in reasoning regarding the trends in TOT</i>                                                                        | 2     |
| <i>General or confused discussion</i>                                                                                         | 1     |

ToT is all about prices! When discussing factors behind trends you must return to their impact on prices.

Australian Xp fell 2011-2015 due to massive increase in supply of minerals causing a fall in price, more than a decrease in demand.

Be careful discussing the impact of the \$A. What is the causal relationship eg falling Tot caused \$A to fall or does the falling \$A cause the ToT to fall?

## Q 24

(a) Inflation Yr 3

| Criteria      | Marks |
|---------------|-------|
| 4.76% or 4.8% | 1     |

(b) Participation rate Yr 3

| Criteria                    | Marks |
|-----------------------------|-------|
| 83.78 or 83.8 (accepted 84) | 1     |

(c) U/E Yr 1

| Criteria | Marks |
|----------|-------|
| 10%      | 1     |

(d) Explain the impacts of rising unemployment on the budget outcome

| Criteria                                                                               | Marks |
|----------------------------------------------------------------------------------------|-------|
| <i>Correctly identified govt revenue and expenditure impacts on the budget outcome</i> | 3     |
| <i>Correctly identified govt revenue or expenditure impacts on the budget outcome</i>  | 2     |
| <i>General or confused discussion</i>                                                  | 1     |

The focus was cyclical impacts rather than potential discretionary policy measures.

(e) Implications for Govt policies based on short and long run Phillips curves.

| Criteria                                                                         | Marks |
|----------------------------------------------------------------------------------|-------|
| <i>Correctly identified and explained the policy implications of SR and LRPC</i> | 4     |
| <i>Some weakness in analysis of policy implications of SR and LRPC</i>           | 3     |
| <i>Explained SR and LRPC but insufficient analysis of policy implications</i>    | 2     |
| <i>General or confused discussion</i>                                            | 1     |

Focus needed to be on policies – macro in the short run and micro in the long run.



## 2017 TRIAL

25. Examine the effectiveness of Australian macroeconomic policies in achieving their objectives.

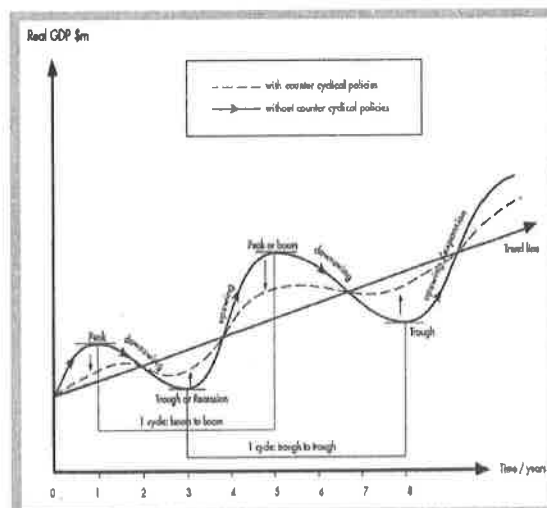
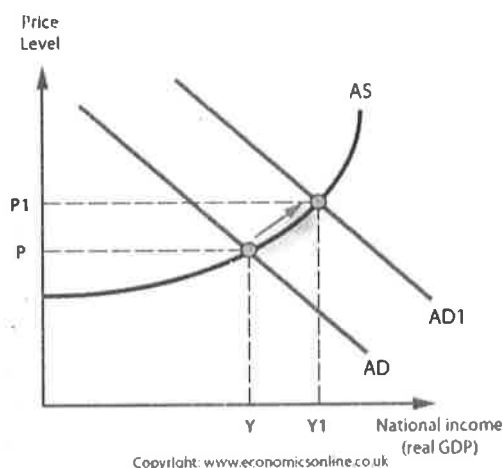
| Criteria                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | MARKS   |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| <ul style="list-style-type: none"> <li>Demonstrates factually precise and extensive knowledge to develop a logically sequenced answer that clearly identifies the effectiveness of Australian macroeconomic policies in achieving their objectives</li> <li>Uses relevant data to support a contemporary and comprehensive discussion that recognizes the objectives under which macro policies are set</li> <li>Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner</li> </ul> | 17 - 20 |
| <ul style="list-style-type: none"> <li>Good use of appropriate knowledge to develop an answer that highlights effectiveness of Australian macroeconomic policies in achieving their objectives</li> <li>Uses relevant data to support a discussion of the objectives under which macro policies are set, but lacking some depth of analysis</li> <li>Sound usage of economic terms, and concepts and relationships are applied in reasonable detail</li> </ul>                                                                 | 13 - 16 |
| <ul style="list-style-type: none"> <li>Uses correct and usually relevant information to demonstrate some knowledge and understanding of the effectiveness of Australian macroeconomic policies in achieving their objectives</li> <li>Discussion of the role of macro policies is flawed in places, detracting from the quality of the response</li> <li>Use of economic terms, concepts and relationships is limited, highlighting weak comprehension</li> </ul>                                                              | 9 - 12  |
| <ul style="list-style-type: none"> <li>Lacks any development of a suitable response</li> <li>Makes minimal use of data to support discussion</li> <li>Use of relevant economic terms, concepts and relationships is extremely limited</li> </ul>                                                                                                                                                                                                                                                                               | 5 - 8   |
| <ul style="list-style-type: none"> <li>A response that reflects a standard barely above a non attempt</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                               | 1 - 4   |

Answers could include:

### INTRODUCTION

Definition of macro policies: monetary and fiscal

Role of Macro (Cyclical/Demand-Side/ $Y=C+I+G+X-M$ ) vs. Micro (Structural/Supply-Side) Policy and draw!



Distinguish time frames:

- Macro: Short/Medium Term – Generally relates to the cyclical nature of the economy such as maintenance of sustainable eco growth, inflation, cyclical unemp, CAD, \$A, etc.
- Micro: Long(er) Term – Generally relates to the structural nature of the economy such as increasing the rate of sustainable eco growth, structural unemp, productivity growth, national savings, int. competitiveness, int. confidence, etc.

Definition of govt's general aims (Sustainable Eco Growth, Internal + External Balances)

Explanation r/e specific objectives (NOT necessarily targets!) inc sustainable growth (now 2.5% - 3.5%?), 'low' inflation (RBA does have target for headline CPI of 2% - 3% on average over time), 'acceptable' unemp (say NAIRU ~ 5%), CAD not exceeding 4% in longer term, etc.

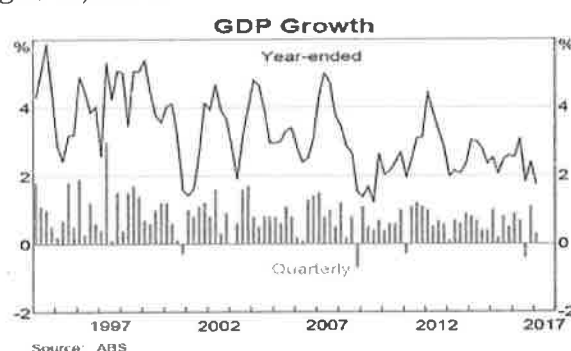
## MONETARY POLICY

### Introduction

- Is undertaken by the RBA, NOT the Govt.
- Now primarily used as a short-term counter-cyclical policy
- Is generally the "swing arm" instrument
- Specific aim is to achieve CPI Inflation Target of 2-3% pa *on average over time* as this is regarded as a *pre-condition for achieving sustainable eco growth*.
- Works via the transmission mechanism which has a number of channels: inter-temporal substitution effect, cash-flow/liquidity, expectations, exchange rate and asset p/wealth

### Recent Policy

- In detail inc. **SPECIFIC** reference to **inflation target/objectives**:



First 2 time periods below = just some background/do v v briefly!!!

- **2002 – 2008:** x 12 cash rate rise by 0.25% from 4.25% to 7.25% as RBA concerned about inflationary pressures (reached 5%) due to low unemp (4% - below NAIRU?) and other capacity constraints (utilisation rate at a near record high of 83%), petrol prices which impacts on all industries through transport costs, food prices, inflationary impacts of budget (esp tax cuts), etc. Growth was strong, averaging 3.2% in the 2000s, reaching 3.8% in 2006/7 and 3.7% in 2007/8; = Mining Boom Mark I
- **2008 & 2009:** x 6 cash rate cuts from 7.25% to 3% including huge 1% cuts in 10 & 12/08 and 2/09. Directly related to the GFC and following global slowdown. The size of cuts reflected the huge concerns that the RBA had regarding eco growth. It fell to 1.2% in 2008/9 inc one negative quarter. Inflation fell to 2% and unemployment rose to 5.8% due to the slowdown.
- **2009 – 2011:** x 7 cash rate rises to 4.75% (last one was Nov 10) as inflation pressures emerged coming out of the GFC. Growth back up to 3.3% in 2009/10 as Mining Boom Mark II takes /took hold. Petrol, utilities (gas, elec & water) and food prices (floods, Cyclone Yasi, supply issues) main contributors to inflation with CPI reaching 3.6% in 2011 and underlying rate strengthening to 2.75%. Concern too r/e capacity constraints inc NAIRU as unemp falls to 5%. Also one negative growth quarter due to natural disasters as well as Euro and US financial crises suggest next movement would be up
- **2012 – Present:**
  - i) Challenging times for the RBA with growth slowing to 2.5% (3/13) and unemp rising to 5.7% (7/13). Also issue of 2 speed economy with WA & Qland booming with mining but other states struggling. RBA cut the cash rate to 2.75% (5/13) and again to 2.5% (8/13). Note this was then an all-time low for the cash rate and lower than the 'emergency setting' of 3% in the GFC. Main reason was little evidence of d-pull or cost-push infl pressures. D-side: weak C; high S (10.5% of Y); mining I peak; other I slow (RBA waiting on dwelling I to ↑). S-side: wage price index subdued (3.1% pa in 5/13); other cost pressures weak. Also imported infl pressures reduced with the (still relatively) high \$A making M (of both final g & s **plus** inputs) cheaper. China also slowed with growth estimate for 2012 of 7.5%. Euro sovereign debt crisis was not resolved quickly, whilst USA and Japan not recovering. Clearly global uncertainty was denting consumer confidence both here and across the globe

ii) More recently growth has slowed to 1.7% (3/17) & inflation is at 1.9% (6/17); indeed CPI has been below 2% for 10 out of last 11 quarters (almost 3 years). Also average wage growth is at record low of 1.9% pa, which is preventing any significant  $\uparrow$  in consumption. Consequently May 2016 there was another 0.25% cut to 1.75% and the last cut was in August 2016 to 1.5% (a new record low), where it has stayed for the last year. This is clearly an expansionary approach; indeed RBA recently talked about the neutral cash rate (basically the 'sweet spot' in terms of cash rates/the long term average even) as now being 3.5% rather than 4.5%. RBA faces a difficult decision as inflation is well below target & growth needs boosting but, if it cuts rates further, there will be further upward pressure on a housing market, which is already overheating in Sydney & Mlb. Also doubts re its effectiveness in boosting C & I/Keynes' 'animal spirits' as confidence is lacking esp with global political turmoil. It can't raise them yet either as this would dampen any recovery & put further upward on the already 'high' dollar (@US0.80), which is hurting X and M-competing firms.

## Overall/Effectiveness

### Advantages:

Short implementation lag (meets every month except Jan)

Independence from govt/political pressures; eg in run up to an election

V effective in restraining agg d; eg pre-GFC

### Disadvantages:

Long impact lag (poss 50% after 6 months but 6 – 18 months for full effect; RBA's Chris Kent said a 1%  $\downarrow$  in cash rate leads to an  $\uparrow$  in GDP by 0.5 – 0.75% over 2 years &  $\uparrow$  in inflation by  $< 0.25\%$  pa over 2 – 3 years); eg reason why fiscal policy took dominant role in GFC

Blunt; eg 2011/12 unable to deal with the 2/multi-speed economy when needed to increase interest rates to curb inflation. Those increases affected all sectors through higher borrowing costs AND they contributed to the rising \$A, which helped mining indies but not service and other X industries, nor import-competing indies.

Not so effective in:

a) boosting agg d; consider the liquidity traps or 'zero lower bound' issues of USA and Japan, where long-standing v low interest rates have failed to spark recovery eg Now!!

b) dealing with supply-side pressures such as cost-push inflation

c) addressing structural issues such as high CAD, low productivity

Conflicts; eg  $\uparrow$  cash rate to  $\downarrow$  infl but may cause  $\uparrow$  unemp; or  $\downarrow$  cash rate to  $\uparrow$  growth but may cause  $\uparrow$  d for M and worsening of balance of trade/CAD

### Judgement:

Over the last 10 years inflation averaged 2.6% ~~R~~RBA has done well to manage

Australia achieved world record of 25 years without a recession so successful (despite current issues...)

May have been more effective if supported by fiscal policy stance in more recent phase; latter has been contractionary due to political constraints of getting rid of the deficit/ $\downarrow$  govt debt (see below)

## FISCAL POLICY

### Introduction

- Use of Federal Govt's budget to achieve its objectives
- General impacts on eco growth, reallocation of resources, income distribution and national S
- Historically: Keynesian 'pump priming' the economy to boost it out of recession; eg Rudd in the GFC
- Objectives have varied with the times

### Recent Policy

First 2 time periods below = just some background/do v v briefly!!!

- **2002 – 2008:** With the economy returning to a more acceptable rate of economic growth, a medium term strategy of maintaining a budget balance over the course of the business cycle became govt's aim, supporting monetary policy. Public Sector debts were paid off, helping external stability via less interest repayments, and tax cuts given. Booming commodities and historically high terms of trade (2000 – 70; 2008 – 110) meant that automatic stabilisers (higher y and company tax revenues, as well as falling dole payments) ensured healthy surpluses and a mildly contractionary stance. Critics at the time said the contraction was too

mild and that the tax cuts (initially proposed by Howard) might be too stimulatory and may not actually favour the low to middle Y earners (Y distribution issues...)

- **2008 - 10:** A radical change in the role of fiscal policy to cope with the GFC as the budget position quickly deteriorated with expected tax revenues not received. Became the dominant policy, supported by monetary policy. Rudd responded to the dire predictions for Australia's and the world's economies with an old-fashioned Keynesian budget; pump-priming the economy to boost Y, output and employment. Fiscal deficit rose from -\$32.9 bn in 08/09 to -\$53.1 bn (about 5% of GDP) in 09/10; a clear expansionary stance.
- **2011 - 17 Budgets:** 4 key goals in general terms(?):
  - 1) Fiscal Consolidation and return to surplus
  - 2) Lift Workforce Skills and Participation
  - 3) Boost Infrastructure Capacity
  - 4) Increased Spending on Priority Areas

A series of successively smaller deficits were planned (see details below). The overriding aim of both Labour and Liberal budgets has been to reduce the deficit/get the budget back into surplus as a result of political pressures of their own making; ie their pre-election(s) promises!! At the v beginning of this era this contractionary stance supported monetary policy but once the RBA started to ↓ the cash rate, the macro policies were in conflict & they remain so. However, it is worth noting that each budget has suffered from 'blow outs' ('unforeseen' ↑ in G and/or ↓ in T, mainly as a result of automatic stabilisers kicking in as the economy slowed). The 4 year forecast for each of these budgets had the outcome back into surplus in its 4th year but none have got anywhere near!!!

- **2017 Federal Budget**

**BACKGROUND**

- During & since the GFC we have recorded successive budget deficits
- Successive govts have pledged to reduce the size of these deficits with little success
- Main reason is the slowdown of economic growth meaning govt revenue (T) has been below expectations
- T has fallen in terms of PAYG (slow employment & wage growth), Company Tax (falling commodity p & demand) and Capital Gains Tax (share market sluggish)
- Govt expenditure (G) has continued to grow, supporting growth
- Since 2007 (last surplus) average real change in G has been 3.4% but T only 1.5%
- Current govt facing dilemma of trying to reduce the deficit/debt at a time when the RBA has extremely loose monetary policy, with cash rate falling to a record low of 1.5% in 8/16
- Transitioning of economy also supported by a relatively low \$A & record low wages growth (1.9%), both of which improve international competitiveness  
BUT low wage growth slows bracket creep/fiscal drag & consumption
- Other strain on the budget is the impact of ageing pop (↑ G and ↓ T)

**MAIN FEATURES**

**Introduction**

- Fits in with government's medium-term strategy to achieve budget surpluses on average over the business cycle, in line with its budget repair strategy of trying to achieve surpluses of at least 1% GDP asap
- Partly through fiscal consolidation (cutting G) but more emphasis on raising T
- 2017/18 underlying cash balance deficit = \$29.4bn (1.6% GDP)
- Compares to 2016/17 deficit of \$37.6 bn (2.1%), 2015/16 deficit of \$39.6bn (2.4%) & 2014/15 of \$37.9bn (3.1%)
- So impact is v v mildly contractionary
- Projections are for progressively smaller deficits in the next 3 years so tightening of fiscal policy with forecast for 2019/20 to be -\$2.5bn (-0.1% GDP) and then a surplus in 2020/21 of \$7.4bn (0.4%)
- New policy initiatives have a net negative impact of \$2.3bn (0.1% GDP) in this budget

- Structural component of budget is  $\sim -2\%$  of GDP and so with underlying cash balance of  $-1.6\%$ , this implies cyclical component is back into a surplus
- Net govt debt will grow from \$325bn (18.7%) in 2016/17 to a record peak in 2018/19 @ 19.8% (last peak was mid 90s @ 18.1%)
- Compared to rest of the world, deficit & govt debt still relatively small
- Japan's net govt debt is 128% and Italy's 111%

### Revenue (T)

- Will increase by 6.8% to \$433bn
- In cyclical terms revenue from Y tax is expected to grow from \$194bn to \$205bn (a 5.5% increase) mainly due to some bracket creep
- Co tax to increase by 14.7% in 2017/18
- Main sources are PAYG 47% of total, Indirect Tax (inc GST) 25% & Co Tax 18%
- 2% deficit repair levy for those earning \$180k removed from 1/7/17
- 2 major new initiatives:
  - 1) **Increase in Medicare Levy** from 2% to 2.5% from 7/19 to raise \$8.2bn over 4 years towards NDIS funding
  - 2) **Big 5 Bank Levy** of equivalent to 0.06% of deposits over \$250k to raise \$6.2bn over 4 years from 7/17
- Confirming last year's '10 Year Enterprise Plan' with big cuts announced for companies with \$10 m or less turnover cut to 27.5% from 30% (or from 28.5% currently if turnover less than \$2 m) this year then future cuts to be phased in so most companies will pay 25% by 2027

### Expenditure (G)

- Will increase by 4.4% to \$460bn (=2.3% in real terms)
- Next year (2018/19) will only increase by same amount
- Rate of increase will slow to 0.9% in 2019/20
- Along with the new revenue measures, this should repair the structural budget deficit. Until this budget, G had previously been doing the 'heavy lifting' in this regard rather than increasing T as the latter raises the tax burden and stifles productivity growth
- Main recipients are Social Security 35%, Health 16%, Education 7% & Defence 7%
- Main new initiatives include:
  - 1) **Higher education** changes with 2.5% 'efficiency dividend' to raise \$2.5bn over 4 years plus 1.82% per annum increase in student fees (7.5% total) and a decrease in threshold when HELP loans to be repaid to \$42k pa
  - 2) **New needs-based schools funding** to increase payments by \$1.8bn over 4 years
  - 3) **Freezing of current Family Tax Benefit** rates for 2 years will decrease payments by \$1.9bn over 4 years
  - 4) **Cancellation of previous budget repair measures** not passed in the Senate (mainly from Hockey's poorly-received 2014 Budget) will increase G by \$15.5bn over 4 years

### Overall/Effectiveness

#### Advantages:

- Short impact lag; can be immediate; eg Rudd's cash splash in GFC meant fiscal policy assumed the dominant role in the policy mix
- Changes to G and T can be very targeted

#### Disadvantages:

- Long implementation lag; only set once pa (May)
- Politically motivated so has focused on short term rather than medium/long term, with particular emphasis on reducing the budget deficit/debt

### **Judgement:**

- Due to political focus on ↓ deficit/debt, fiscal policy has conflicted with monetary policy's expansionary stance in recent time period
- However, as mentioned above, Australia has had record period of growth, contained inflation & lowish unemp, ↓ CAD, etc....although could we have performed better??

### **Comments**

Number: 39

Mean: 15.3

Median: 15

The standard certainly varied. The better answers clearly stated what the objectives were at various times (the RBA's has barely changed... '**over the b/cycle**' to '**over time**'!!), what the various indicators were showing, how the policies responded and then how the indicators changed. **ONLY THEN** can you examine the effectiveness of the policies. Most followed the formula of doing the 2 policies together through pre-GFC, GFC, post-GFC recovery and current slowdown. Those that did the policies separately during each era ended up repeating themselves. Some also referred to other, less explicit objectives such as Environment, Y Distribution and External Stability, which is fine, but key ones are clearly sustainable growth, inflation and unemp

Some bones of contention:

1) Writing all you know on macro policies rather than answering the q set;

ie **EXAMINING THE EFFECTIVENESS.....**

2) Coverage of Fiscal Policy and particularly the 2017/18 Federal Budget was nowhere near as good as Monetary Policy; clearly some gaps in revision.....

3) Far too much written on pre-GFC and GFC eras.....These should be one/two paragraphs each at most.

I definitely think the GFC is worth mentioning as FP then assumed a dominant role for once in recent times but now it is back to a supporting role to MP in terms of stabilisation/counter-cyclical policies

4) Inflation target is Headline CPI between 2 – 3% **ON AVERAGE OVER TIME**

5) **RBA** does monetary policy **NOT** the govt

6) **TOO MUCH THEORY** on things like domestic market operations, etc

7) Talk about budget **STANCES** (expansionary, etc), not outcomes

8) **STATS, STATS** and more **STATS**...are needed to write a decent response.

## 2017 TRIAL

### 26. Examine the effectiveness of Australian microeconomic reforms in achieving their objectives.

| Criteria                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | MARKS   |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| <ul style="list-style-type: none"> <li>• Demonstrates factually precise and extensive knowledge to develop a logically sequenced answer that clearly identifies the effectiveness of Australian microeconomic reforms in achieving their objectives</li> <li>• Uses relevant data to support a contemporary and comprehensive discussion that recognizes the objectives under which micro reforms are set</li> <li>• Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner</li> </ul> | 17 - 20 |
| <ul style="list-style-type: none"> <li>• Good use of appropriate knowledge to develop an answer that highlights effectiveness of Australian microeconomic reforms in achieving their objectives</li> <li>• Uses relevant data to support a discussion of the objectives under which micro reforms are set, but lacking some depth of analysis</li> <li>• Sound usage of economic terms, and concepts and relationships are applied in reasonable detail</li> </ul>                                                                 | 13 - 16 |
| <ul style="list-style-type: none"> <li>• Uses correct and usually relevant information to demonstrate some knowledge and understanding of the effectiveness of Australian microeconomic reforms in achieving their objectives</li> <li>• Discussion of the role of micro reforms is flawed in places, detracting from the quality of the response</li> <li>• Use of economic terms, concepts and relationships is limited, highlighting weak comprehension</li> </ul>                                                              | 9 - 12  |
| <ul style="list-style-type: none"> <li>• Lacks any development of a suitable response</li> <li>• Makes minimal use of data to support discussion</li> <li>• Use of relevant economic terms, concepts and relationships is extremely limited</li> </ul>                                                                                                                                                                                                                                                                             | 5 - 8   |
| <ul style="list-style-type: none"> <li>• A response that reflects a standard barely above a non attempt</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                 | 1 - 4   |

### INTRODUCTION

Definition of microeconomic policies (MER)

Brief discussion of the concepts of competition and efficiency

Explanation of factor and product markets inc their relationship

### MER

Recognition that MER addresses supply-side problems...and DRAW!

General links between MER and competition, efficiency, productivity, international competitiveness and, ultimately, structural change AND living standards

Encouraging productivity is the key...As Paul Krugman said: **'Productivity isn't everything, but in the long run it is almost everything'**; ie it is **THE** long run source of eco growth. Glenn Stevens (RBA Governor) confirmed this with **'there is only one source of ongoing higher rates of growth of real per capita incomes, and that is higher rates of productivity growth'**.

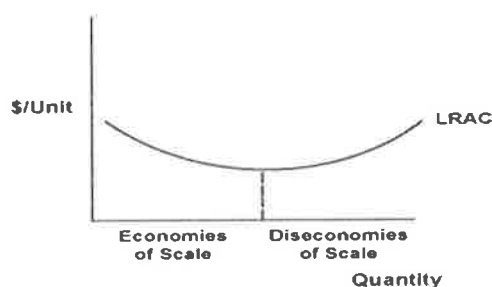
Some stats which could be used here/later to judge 'effectiveness':

- The Productivity Commission estimates that, over the last 40 years, 80% of our Y growth has been from labour productivity. In 1990s av eco growth was 3.2% pa of which 2.1% was from labour productivity; 2000s av eco growth was 4% pa, of which only 1.4% was labour productivity
- Figures for the year to 3/13 suggest GDP per hour worked rose by 2.4%, which was above Rudd's 2010 target of 2% and the latest Intergenerational Report long-term projection of 1.6%. From 1995 – 2000, GDP growth per hour worked ↑ by 2.7% representing a \$7000 gain per h/hold over those 5 years
- Also been estimated that a 0.1% in mfp → ↑ in Y of \$4500 per capita

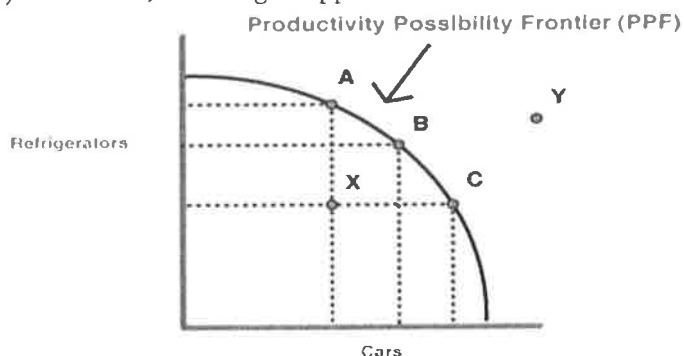
### EFFICIENCIES

MER consists of policies aimed at specific firms or industries and focuses on ↑ in 3 types of efficiencies in both factor **and** product markets. Factor markets are critical as they represent input costs for firms:

a) **Technical** = min average cost (technical optimum)



b) **Allocative** = on edge of ppf



Points A, B and C are allocatively efficient; ie max combinations that can be produced;  
 X is allocatively inefficient; ie unemployed or underemployed resources;  
 Y is impossible given current technology, resources, etc.

c) **Dynamic** = development of innovation and responsiveness to change.

## EXAMPLES OF POLICIES IN BOTH FACTOR AND PRODUCT MARKETS

**1) Competition Reform** - National Competition Policy inc ACCC (since 1995), Trade Practices Act (Amcor & Visy cartel), concept of WORKABLE competition ('4 Pillars Policy' preventing main banks from merging, break-up of aviation duopoly, agriculture), 3<sup>rd</sup> party access to infrastructure (Telstra, Aust Rail Track Corp), competitive neutrality (various GBEs), etc  
 Main legislation is the **Competition and Consumer Act (2010)**, which consolidates state and federal law into one act. Supported by the **Australian Consumer Law Act (2010)**.

**2) Deregulation** of industries such as the financial sector in the 80's & 90's including the floating of the \$A and removal of RBA direct controls in 1983, as well as allowing foreign banks to set up here. Also ↓ controls in aviation, rail, telecommunications, agriculture, etc.  
 Some say deregulation may have gone too far; eg slack fin controls contributing to the GFC.

**3) GBE/PTE Reform** inc privatisation (Medibank, Telstra, etc), corporatisation (Sydney Water, Energy Australia - both key inputs for all industries, Aust Post, etc) and commercialisation (State Rail). Also state-wide: eg electricity network (NSW - partial sale of the 'poles & wires')

**4) Tax Reform** inc **GST(2000)** to improve overall tax efficiency (as most goods now taxed uniformly @ 10% apart from health, education & fresh food) & reforms to Y, company and superannuation taxes (to provide incentives). Also **Henry Taxation Review (2009)** recommended significant changes to improve efficiency (as opposed to equity) by encouraging greater simplification of tax returns, etc. However, most recommendations have not been taken up by govts.

**Minerals Resources Rent Tax (2012)** Labour Govt attempt to share some of the gains from the mining boom by imposing extra tax on relevant firms but revenues gained proved wildly over-estimated. Abolished by Coalition Govt.



**Carbon Tax (2012)** placed a \$23 per tonne charge for emissions on the 500 largest polluters in Aust (except agriculture). Price was expected to go up 2.5% pa til 2015 and then was going to move to an emissions trading scheme ('cap & trade'). But Coalition Govt have got rid of the tax and replaced it with their 'Direct Action' plan (Emissions Reduction Fund, etc)

**5) Trade Policy** inc cuts in protection inc tariffs, agreements and direct assistance, etc. (TCF and PMV industries); eg half M now tariff free and remainder mostly < 5% with Aust's av tariff levels are around 1.3%, which is comparable to most western countries. We also have the 2nd lowest agric subsidies (after NZ) @ 2% of farmers' Ys (USA = 7%, EU = 20% & Japan = 50%!). See Topic 2: Australia's Place in the Global Economy for further details of this area of policy.

**6) Industry Assistance** (= 'Business welfare') ended for PMV (hence Ford & Holden closures) & phasing out for TCF but do have Export Markets Development Grants (EMDG), research and development grants and tax relief, etc (ethanol & high tech (pharmaceutical, biotech, etc) industries).

**7) Council of Australian Govts (COAG) Reform Agenda** aiming to achieve consistency across states, as well as reducing impediments to efficiency through further reforms to competition, regulation and human capital. 17 business regs enforced from rail safety to wine labelling as part of the **2008 National Partnership Agreement to deliver a Seamless National Economy**. Also workplace participation encouraged. In 2012, the Productivity Commission estimated that these reforms could save \$4 bn in costs to firms if implemented fully and a 0.4% GDP boost in long run with the removal of 'red tape'. However, the COAG Reform Council was dismantled as of 30/6/14 by the Coalition Govt.

**8) Infrastructure Policy** reforms introduced to prevent capacity constraints such as infrastructure bottlenecks (eg ships waiting off the Newcastle coast restricting X, etc), which result in cost-push inflationary pressures and ↓ international competitiveness. The **Nation Building Program** announced in the 2008/9 Budget gave \$36 bn to road, rail & port improvements over 6 years and the 2013/14 Budget pledged an extra \$24 bn over the next 6 years to 2018/19. The 2014/15 Coalition Budget announced a \$50 bn infrastructure plan; mainly on roads but only \$11.6 bn = 'extra' money on top of previous announcements). 2015/16 Budget \$5bn was added in the form of assistance to the NT through soft loans. This year's budget increased the total to \$75bn inc \$5.3bn for the Western Sydney Airport and \$8.9bn for Mlb to Bbane inland rail.

The **National Broadband Network (NBN)** is the biggest current project (now estimated cost blow out to \$41 bn) to create a national optical fibre network for high-speed broadband but plan has been scaled down by the Coalition. Still, should be some help for businesses through relieving telecommunications supply constraints and reducing cost-push inflationary pressures.

## **9) Labour Market Reform**

**Vital Note: There is far too much below but have included all the policies for revision purposes!!**

This is crucial as represents 55% of a firm's costs. Also = the second capacity constraint for the economy including skills shortages (as seen in 2007 just prior to the GFC when unemployment dipped to 4%) and the natural rate of unemployment (thought to be around 5% by many). Reforms including enterprise bargaining, Workplace Relations Act (1996), Fair Work Australia (2009), etc.

There has been a huge number of reforms in this area over the last 10 years but not so many recently. In general terms the labour market has shifted from a more centralized approach (non-market forces) to a more decentralised (market forces) approach. Starting with Howard's *Workplace Relations Act* (1996); this was seen as a decentralised approach and included the introduction of individual contracts (known as Australian Workplace Agreements or AWAs), reduction in trade union power, relaxation of unfair dismissal laws and national standards, etc. His failed *Work Choices* was an attempt to introduce further decentralisation.

Gillard's *Fair Work Act* (2009) was slightly more regulatory but only a little less so compared to Howard's policies. These are the key points:

- National system of wage determination covering about 90% of workers
- 10 national standards inc 'family-friendly' provisions such as max of 38 hours pw, right to request flexible work arrangements, right to leave (annual, public hols, carers, compassionate, unpaid parental leave, etc) and notice of termination & redundancy pay
- Simplification of Awards (from 3,175 to 122)
- Greater emphasis on collective agreements (now cover over 41% of workers), now known as Enterprise Agreements
- Greater role for unions (but a long way from the 'old days' of union power)
- Enterprise bargaining now a legal right
- 'Good faith bargaining' provisions; i.e. bosses and workers/unions must act genuinely and fairly
- Compulsory dispute settlement terms set by Fair Work Australia
- Slight tightening of unfair dismissal laws

The aim was to reduce business costs and be a fairer system for workers. Certainly industrial disputes are at near historic lows; 18 working days lost per 1000 workers under Fair Work compared to 13 under Workplace Relations Act and 232 at start of 1990s. As a result, labour market flexibility and, therefore, productivity should increase.

| Ads of Decentralisation                     | Disads of Decentralisation |
|---------------------------------------------|----------------------------|
| ↑ efficiency of allocation of resources     | ↑ inequality               |
| ↑ productivity (thro enterprise bargaining) | ↑ wage-push inflation      |
| ↑ wage flexibility                          |                            |
| ↓ cost-push inflation (due to the above)    |                            |

Fair Work Australia's Minimum Wage Panel is responsible for setting the *safety net* (i.e. min) wage for approx. 2.3m workers. In June 2016 the decision was a 2.4% increase pw or \$17.70 ph. In June 2017 the increase is \$22pw or 3.3% to \$694.90 (\$18.29ph). At least this means an increase in real wages for the lowest paid with CPI currently @ 1.92%, altho unions claim the (just over) \$36,000pa this agreement represents is not enough. They wanted a \$50 pw increase but employers said they could only afford much less inc the ACCI who wanted an \$8pw (1.2%) increase. The Coalition has appointed many new people to this Panel and it is perhaps now favouring employers rather than employees.

The Coalition has also undertaken to improve the Fair Work Act without radically changing it. It pledged not to return to AWAs for fear of being linked to Howard's Work Choices legislation, which was one of the reasons behind his electoral defeat. They are contemplating their options before making decisions. Last year (2015) they cut Sunday penalty rate loadings for casual, unskilled workers from 75% to 50% and there is now talk about eliminating penalty rates altogether...

It is estimated that in 2014:

41% of workers have enterprise/collective agreements (2004 was 36%)

37% covered by individual agreements (41%)

19% on industrial awards inc min wage (21%)

As a minimum, all agreements must comply with the National Employment Standards (see above) and must pass the **BETTER OFF OVERALL TEST (BOOT)**. This requires that workers must be better off overall by an agreement compared to a relevant award. In 6/16 Coles are being investigated for refusing to lift penalty rates of its low-paid workers (= 80% of its workers; ie part-time & casuals) that left them worse off under its deal with the shop assistants' union.

Dispute resolution through conciliation (talking) and arbitration (ruling), although the latter is now only used in rare circumstances as employers and employees have taken on more responsibility to resolves disputes. The Fair Work Commission now rarely gets involved although it may do in circumstances involving compulsory dispute settlement terms, bargaining in good faith and resolving industrial action.

Other reforms by the previous Labor governments, mainly announced in their budgets, involved skilling and retraining workers to ensure greater labour market flexibility.  
For details of the Coalition's plans in these areas, see details of their Budgets (below), as well as in Topic 3: Eco Issues - Unemployment

**Education & training programs** are crucial for the efficient operation of the labour market. The Gonski reforms are an attempt to improve education outcomes at school, which should flow on to raising standards & skills for employees. Other programs have already been outlined above.  
It is a similar story for **labour market programs**. **JOB ACTIVE** is the federally-funded network of employment services agencies, providing employers with recruitment assistance & helping job seekers find work. There are 66 agencies with a total budget of \$5bn from 2015 to 2018 and are paid on the basis of placing the unemployed into jobs at the 4, 12 & 26 weeks mark. The main aim of these programs is to raise participation rates to combat the effects of an ageing pop. Other policies include:

- Better child care provisions inc higher subsidies & more places
- Paid parental leave
- Reducing high marginal tax rates of welfare recipients (to ensure they are better off working than remaining on welfare payments; ie the incentive effect inc raising the tax free threshold from \$6,000 to \$18,200 in the 2012 Budget
- PaTh program in the 2016 Budget inc training, internship (extra \$100 pw to welfare payment) and then a wage subsidy (see below)

Other reforms by the govt involve skilling and retraining workers to ensure greater labour market participation & flexibility: (This is also good for essays on UNEMPLOYMENT!!). Some examples follow:

#### 2016/17 Budget:

- **Youth Jobs PaTH program (Prepare-Trial-Hire)**  
\$752 m internship program for up to 120,000 young (< 25 years old) job seekers over next 4 years through an intensive pre-employment training scheme (6 weeks) morphing into internships (4 – 12 weeks) where the interns will get \$200 per fortnight added to their Y support payments. Then there will be a Youth Bonus wage subsidy where host firms employing a young job seeker get an upfront payment of \$1000 plus 6.5k - \$10k over 6 months
- Work for the Dole scheme overhauled and job seekers will need to be registered with Jobactive for 12 months before joining, rather than 6 months

#### 2017/18 Budget:

- Not much specific help for jobs although there is extra support to prepare Indigenous and vulnerable new parents for work as part of the PaTH program
- New tougher compliance Job Seeker Framework for welfare recipients inc drug testing for a sample of new claimants which may see them receive vouchers for food, etc rather than cash if they fail random drug tests.

**Note:** There are other areas of labour market reforms to consider inc:

- Dispute resolution which follows the process of conciliation and arbitration in Australia. The Fair Work Act requires compulsory dispute settlement terms and bargaining in good faith. Certainly the no. of days lost through industrial disputes has fallen dramatically since the 80's; an 83% drop.
- Education, Training & Employment Programs - See above & textbooks for some examples.
- Evaluation of Labour Market Outcomes - This is essentially the stance of policies in terms of centralisation/decentralisation. As said, we have gone from the former in the 80's to the latter in the 90's & to the mid 00's. The Labour Govt's election in 2007 saw a v slight ↓ in decentralisation. 2013 Abbott Govt yet to significantly change the legislation. See textbook for details. Here are some of the outcomes:
  - Wages growth & inflation; both v low at the moment
  - Work practices and productivity; both have improved recently with labour productivity ↑ 2.5% in 2014
  - Unemployment; relatively low compared to other advanced ecos; ranked about 15<sup>th</sup> out of 33 OECD countries for low unemployment

- Income inequality; the movement towards decentralization has caused some *wage dispersion*; ie widening of gap between high & low Y earners, despite the safety net increases.
- Industrial action; the number of days lost to strikes, etc has fallen dramatically since the early 80s. In 1981 there were 4m days lost, whereas since 1996 there has been < 1m

### 10) National and global context for environmental management

**Vital Note: There is far too much below but have included all the policies for revision purposes!!**

#### 1) COMMAND & CONTROL

Much environmental intervention takes the form of legislation to prohibit/limit emissions and other activities, which deals with the problem directly. However, some (economists) say that regulation does not give the best trade-off between eco growth and env quality as it does not create incentives to find cheaper ways of reducing env damage.

Successful examples include:

- Global banning of cfc's at the Montreal Protocol in 1987 (see later);
- Banning of leaded petrol by the Aust govt, phased out by 2002;
- Setting targets; eg Australia had a renewable energy target (RET) of 20% of all energy consumed by 2020. But has in 5/15 been reduced from 41,000 gigawatt hours to 33,000 gigawatt hours; ie decrease to 16%. Also we have pledged to ↓ our carbon emissions by 26 – 28% by 2030 from 2005c levels (Paris Agreement -see later)

#### 2) ECONOMIC INSTRUMENTS

Can take several forms inc

- **Subsidies**; eg of renewable resources as per 2010/11 budget which allocated \$652 m to the Renewable Energy Fund/Clean Energy Future. This was confirmed in the following budget but severe cutbacks under Abbott;
- **Refundable Deposit Schemes**; eg South Australia's scheme for bottle re-cycling;
- **Taxation** to discourage production and/or consumption by raising prices. Also known as the 'polluter-pays' principle, although obviously prices can be passed on to consumers but it does give producers incentive to cut emissions. Also yields revenue for govt. Carbon Tax (2012) was an example – See notes from Topic 3: Eco Issues; Chap 12: Env Sustainability;
- **Tradable Permits** where govt sets pollution 'limit' and firms are awarded or bid for permits at auction. Again gives firms incentive to cut emissions with potential to re-sell permits to firms in need and gives govt revenue source - See notes from Topic 3: Eco Issues; Chap 12: Env Sustainability;
- **Creation of Property Rights** where govts legislate to create private property rights over environmental assets (eg fishing licences/quotas). Buyers of the asset have a proprietary interest in preserving the asset and avoiding exploitation through under-pricing but system may not be practical or politically acceptable.

#### 3) AGREEMENTS

- **Montreal Protocol, 1987**

One of first successful global agreements with the banning of cfc's to reduce the hole in the ozone layer. Due to its widespread adoption and implementation, it has been hailed as an example of exceptional international co-operation, with Kofi Annan (then the Secretary-General of the UN) quoted as saying that "**perhaps the single most successful international agreement to date has been the Montreal Protocol**". It consisted of two ozone treaties, which were ratified by 197 countries and the EU, making them the most widely ratified treaties in United Nations history. Production was phased out by 2000 and the ozone layer should recover to pre-1980 levels by 2050/2065

- **Kyoto Protocol, 1997**

Kyoto was initially a 160 nation agreement that required industrialised countries to reduce their average national emissions by approx 5% below their 1990 levels over the period 2008 – 2012. Neither Australia, under Howard, nor the USA signed up as both felt that the highest polluting countries (in nominal terms, not per capita - China, India, etc) should have had the highest targets. However, these countries argued against this idea as they said that the problems had been created by western countries in the first place! Rudd did eventually ratify Australia's participation in 2007 as soon as he was elected but it was not turned into domestic law. It has generally been regarded as a very positive step forward for the environment

- **Copenhagen Summit, 2009**

This was to negotiate future action following on from the Kyoto Protocol of 1997. Whilst it is true that no legally binding agreement was reached by 194 countries, there were some positives:

- Developed and developing countries have agreed to hold global temp increases to below 2%. This represents the first wide ranging agreement on 'dangerous' climate change;
- The fact that both developed AND developing countries have agreed is significant;
- Commitment towards transparency made;
- Developed countries have agreed to deliver U\$30bn in 2010 – 2012 to help developing countries and mobilise U\$100bn pa to support such climate change actions;

~ 120 countries pledged support; = 80% of total world emissions....So not exactly a 'failure'.

Australia initially pledged to reduce emissions by 5% of their 2000 level by 2020; this was quite significant as it represents us reducing our emissions by 22% of the level to which they were projected to have grown.

- **Paris Summit, 2015**

- = Follow up to the Copenhagen Summit of 2009
- Australia's new commitment to cut emissions to 26-28% below 2005 levels by 2030.
- Post-2020 emissions reductions targets announced with global average being -37%, with Switzerland highest at -51% and UK -50%. Australia is well below the average at -19%. USA is -43%, EU -33%, NZ -23% and Canada -16%.
- **But Trump's decision of 6/17 to pull the USA out of its commitments so future of this agreement is unclear...**

#### 4) **LIBERALS' DIRECT ACTION PLAN, 2014**

Main Points (Again see your Topic 3:Eco Issues; Chap 12: Env Sustainability notes):

- Does not include any specific long-term targets but expected to meet previous Govt's commitment to ↓ Australia's greenhouse gas emissions by 5% (on year 2000 levels) by 2020, at the lowest cost;
- Centrepiece is the Emissions Reductions Fund (ERF) - = \$2.55 bn over 4 years for firms as an incentive to meet or fall below their long-term average direct emissions rate;
- Initially there was creation of a \$525 m 'Green Army' - = 15,000 people by 2018 earning between \$10 - \$16 per hour (which is < min wage of \$16.87 per hour but > Newstart Allowance/Dole of \$255.25 pw) to undertake environmental projects BUT NOW TO BE DISBANDED;
- Talk of new targets of LET (low emissions target) or even a CET (clean emissions target) but these have yet to be clarified

#### **EFFECTIVENESS OF MER**

Highlight key examples of reform areas and industries affected

Recognition of:

- i) time lags;
- ii) supply constraints such as infrastructure & NAIRU
- iv) costs; eg retraining, etc
- v) possible conflicts such as efficiency and structural unemployment

It is said that most of the effective MERs were carried out in the 1980s and we reaped the benefits in the early 2000s. These reforms have been described as 'low-hanging fruit'; ie the easy reforms to make and the ones with clear benefits. Now govts are faced with the 'high-hanging fruit'; these are hard to get to (ie expensive) and associated benefits may not be gained as easily.

Significant challenges lie ahead for MER inc aging pop, declining workforce participation, falling terms of trade, hollowing out of manufacturing industries and the impact of climate change.

There have been a number of reviews recently to consider future possibilities for further MER inc:

- **Competition Policy;** chaired by Prof Ian Harper  
Considering impacts of much of Aust industry being dominated by a small number of large firms. More competition can lead to lower prices, better service, wider range, higher demand/jobs, etc
- **Financial System;** chaired by Mr David Murray  
Trying to minimise exposure of Aust H/holds to global capital volatility & unfair business practices (eg selling life insurance, fixing i rates, etc). This sector accounts for approx. 10% of the economy and is key for the smooth functioning of the economy through the mobilization of S for I purposes
- **NBN;** chaired by Dr Michael Vertigan  
Identifying the eco and social benefits of faster broadband, as well as considering the govt's role plus ownership/regulation issues for the NBN company. This is a critical area for the future functioning of Aust's economy

Significant challenges lie ahead for MER including ageing pop, declining workforce participation, falling terms of trade, hollowing out of manufacturing industries and the impact of climate change.

#### Comments:

Number: 16

Mean: 15.6

Median: 16

Standard varied considerably. Many introductions were poor in terms of not stating links to ↑ efficiencies and productivity through ↑ competition, with the ultimate objective of ↑ living standards.

An outline of the 3 efficiencies was important as effectiveness could be judged at a later point in relation to these. There are a lot of MERs to get through and I think it is important to at least reference as many as possible. To 'examine the effectiveness', you need to state the issues/indicators that existed in various industries before the MERs were introduced, then state the relevant MERs and finally changes to those issues/indicators. This requires a detailed knowledge of the economy inc stats and/or examples.

Another way of doing this and answering the question would be to consider the benefits/advantages and the costs/disadvantages of the various MERS. Even if it is too early to judge, you can state that and refer to the possible outcomes!

The issue of productivity was important given the stimulus provided but many responses did not refer to this as much as they should have.

Some bones of contention:

1) Writing all you know on micro policies rather than answering the q set;

ie **EXAMINING THE EFFECTIVENESS.....**

2) Coverage of some MERs were nowhere near as good as others; clearly some gaps in revision.....

3) Many MERS were implemented some time ago but it is valid to talk about them in terms of the productivity figures given **AND** the time frames of implementation and impact

4) **TOO MUCH THEORY** by some

5) **STATS/EXAMPLES, STATS/EXAMPLES** and more **STATS/EXAMPLES**...are needed to write a decent response.

## THE COSTS AND BENEFITS OF MICROECONOMIC REFORM

Microeconomic reform involves many difficult areas for policy makers, including the costs of structural adjustment for firms and workers affected by the reforms; community perceptions about equity in income distribution; and gaining political support for the microeconomic reform process itself.

At the microeconomic level, some of the obvious benefits of greater competition and a more 'consumer driven' society will result in technical, allocative and dynamic efficiency gains, as firms and workers raise productivity levels and use their competitive advantage to export to the global market. The non traded goods sector (e.g. government infrastructure) should also improve its efficiency and assist the traded goods sector (i.e. export and import competing industries) to become more internationally competitive.

At the macroeconomic level, some of the benefits of successful microeconomic reforms include:

- Raising national productivity by improving the productivity and efficiency of labour and capital;
- Lowering inflation outcomes through more competitive product and factor markets;
- Helping to reduce the current account deficit by increasing exports and competitiveness;
- Achieving a higher sustainable rate of economic growth through rising levels of productivity;
- Helping to reduce unemployment through job creation in expanding industries;
- Helping to overcome structural problems such as low national saving; and
- Achieving higher living standards through rising real incomes in the community.

The expected gains from microeconomic reform must be balanced against the costs of adjustment to the structural changes that they involve. Changes in work and management practices may cause dislocation, especially if the reforms are implemented too quickly and without adequate consultation. The distributional impact of microeconomic reforms will also vary from industry to industry. Monopoly suppliers will tend to lose profits, but consumers will gain from lower prices. However in some cases such as the PTEs providing utilities such as gas, water and electricity, prices may rise as subsidies are removed and prices reflect the marginal costs of production (this is known as allocative efficiency).

Although employment will tend to rise in aggregate in the long run, some workers will become structurally unemployed as their industry contracts due to greater competition. Improvements in efficiency caused by higher labour and capital productivity may also lead to 'labour shedding' as workers with redundant or low skills are no longer needed. Structural unemployment will rise (such as the decision by Ford, Holden and Toyota to cease car manufacturing by 2016-17 is estimated to lead to 50,000 job losses), as will unemployment in the public sector, where the most wide reaching reforms have been implemented, including the loss of 27,000 jobs in the federal public service, due to budget cuts and the outsourcing of work to the private sector. The continuing decline in manufacturing employment (now only 9% of the total workforce) represents a major structural adjustment for the workforce over time, especially for male blue collar full time workers. However offsetting this, is the creation of more jobs in the expanding services sector of the economy although many of these may be part time and casual jobs.

The costs of re-training and the relocation of displaced workers due to structural change caused by microeconomic reform policies must be paid for by governments from the expected dividends (in the form of higher tax collections) from microeconomic reforms. The federal government may incur higher expenditure on Job Search Allowances and labour market adjustment programmes as a result of rising unemployment rates of workers from state or territory PTEs and industries affected by tariff reforms such as the steel, PMV and TCF industries. Microeconomic reform may therefore lead to cost shifting from state governments to the federal government because the Australian government bears the cost and responsibility for displaced workers. Other implications of microeconomic reform include how the benefits of the reforms are shared between the federal, state and territory governments, and consumers, workers and producers. The greatest improvements in productivity, efficiency and profitability have come from PTEs, whose dividend payments to government owners have tended to increase over time.

## SGS Trial Examination 2017

### Q27 Discuss the causes of change in Australia's external stability in recent times

| Criteria                                                                                                                                                                                                                                                                                                                                                                                                                                      | MARKS   |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| <ul style="list-style-type: none"> <li>• Demonstrates extensive knowledge to develop a logically sequenced answer that discusses the <b>causes of change in Australia's external stability in recent times</b>.</li> <li>• Uses relevant data to support a contemporary &amp; comprehensive discussion</li> <li>• Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner</li> </ul>               | 17 - 20 |
| <ul style="list-style-type: none"> <li>• Good use of appropriate knowledge to develop a logically sequenced answer that clearly discusses the <b>causes of change in Australia's external stability in recent times</b>.</li> <li>• Sound use of economic terms and applies economic concepts and relationships</li> </ul>                                                                                                                    | 13 - 16 |
| <ul style="list-style-type: none"> <li>• Uses correct and usually relevant information to develop an answer that discusses the <b>causes of change in Australia's external stability in recent times</b>.</li> <li>• The discussion of the influences is flawed in places and there is a lack of relevant data</li> <li>• The use of economic terms and economic concepts and relationships shows some weaknesses in understanding</li> </ul> | 9 - 12  |
| <ul style="list-style-type: none"> <li>• Lacks any development of a suitable response</li> <li>• Makes minimal use of data to support discussion</li> <li>• The use of relevant economic terms, concepts and relationships is absent</li> </ul>                                                                                                                                                                                               | 5 - 8   |
| <ul style="list-style-type: none"> <li>• A response that reflects a standard barely above a non - attempt</li> </ul>                                                                                                                                                                                                                                                                                                                          | 1 - 4   |

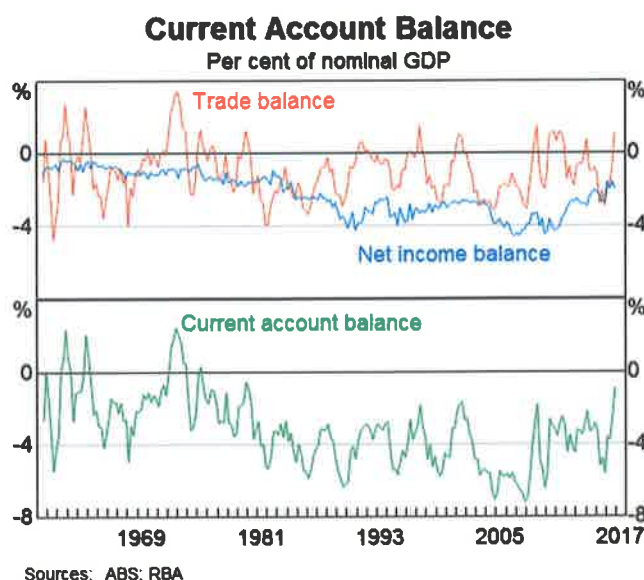
Marks 20 - 0, 19 -1, 18 - 4, 17 - 7, 16 -7, 15 - 2, 14 -3, 13 - 1 and less than 10 - 1

#### Comments:

- This question had a causes focus rather than effects (but many wrote about the impacts)
- Many responses gave a narrative of movements in CAD without explaining the causes
- Long paragraphs, lack of planning was evident in many responses

#### Answers could include:

- **Current Account Deficit**



While Australia's Current Account has consistently been in deficit, the size of the deficit has fluctuated significantly with economic cycles. Typically, the deficit has expanded during times of strong economic growth. Over the past decade, however, dramatic movements in commodity prices have tended to



dominate BOGS balances. Growing global demand for items that Australia exports has seen export receipts increase strongly. Initially, rising commodity prices pushed export receipts higher. It has been increased **volumes** of mining output that has supported export revenue recently (AUD depreciation). Australia has previously run large deficits on the Services Account. However, growth in income from industries such as tourism and education to overseas students, has helped keep the Services Account in modest surplus or a small deficit in recent years:

| Current Account Items \$B            | Year to March 2017 | Year to March 2016 |
|--------------------------------------|--------------------|--------------------|
| Exports                              | \$ 279.1           | \$ 243.4           |
| Imports                              | \$ (271.9)         | \$ (273.2)         |
| Balance of Trade                     | \$ 7.2             | \$ (29.8)          |
| Services Balance                     | \$ (2.6)           | \$ (10.6)          |
| Balance of Trade in Goods & Services | \$ 4.7             | \$ (40.3)          |
| Net Income                           | \$ (46.0)          | \$ (36.1)          |
| Current Account Balance              | \$ (41.3)          | \$ (76.5)          |

The Current Account deficit has contracted sharply over the past year and in March 2017 was just 0.7% of Gross Domestic Product (GDP). This compares **with** larger deficits of approximately 3% to 5% of GDP over much of 2010 to 2016.

The largest contributor to Australia's Current Account deficit is the high negative balance on the Income Account. The deficit on the incomes account has increased recently as the size of Australia's foreign debt has increased.

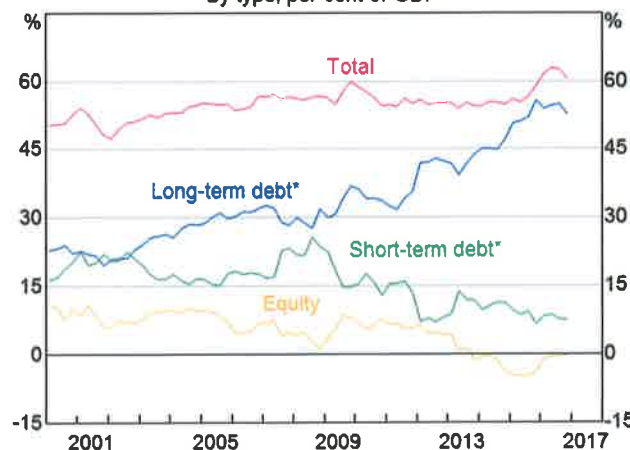
Australia's net foreign liabilities are in the form of debt rather than equity:

| Foreign Liabilities           | \$ Billion in March 2017 | % of Total |
|-------------------------------|--------------------------|------------|
| Net Foreign Debt              | \$1,015                  | 99%        |
| Net Foreign Equity Owning     | \$ 11                    | 1%         |
| Total Net Foreign Liabilities | \$1,026                  | 100%       |

Source: Australian Bureau of Statistics 5302

### Net Foreign Liabilities

By type, per cent of GDP



\* Short-term includes debt with a residual maturity of one year or less; long-term includes all other debt

Source: ABS

As Australia maintains a deficit on the Current Account, there has been an ongoing need to borrow funds to finance the gap between what is earned and spent between Australia and overseas. The decline in value of the Australian dollar over the past 3 years may have magnified some of the natural growth in the debt.

## Causes of CAD:

### Cyclical

- Changes in the terms of trade.
- Levels of domestic growth.
- Level of growth in trading partners – China.
- Exogenous factors (outside of control); e.g. drought.
- Exchange rate fluctuations

### Structural

- Past CADs and existing debt levels (possible debt trap scenario)...H/Hold debt alone is at a record high of 177% of H/Hold Y
- Australia's low level of national savings – S/I gap
- Australia's narrow production and export base.
- Greater international competitiveness needed (price & quality); hinges on low domestic inflation.
- Natural endowment of minerals resources.

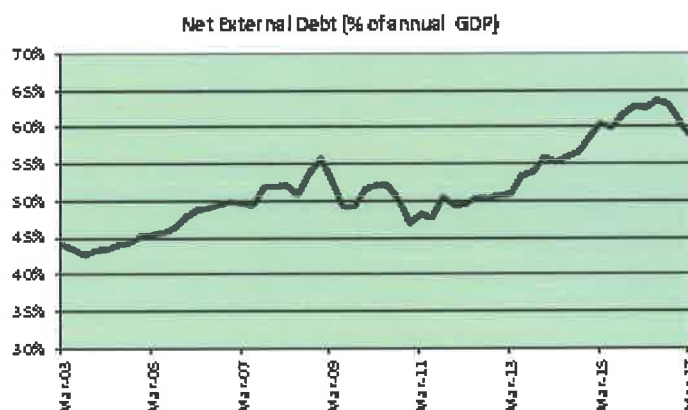
### Exchange rate Fluctuations:

The GFC in 2007-8 led to a depreciation in the real exchange rate, The European Sovereign debt crisis caused another depreciation between May & July 2010. The Australian dollar recovered during 2011 (commodity prices, TOT improvement, interest rate differential) trading @ \$US1.05. By 2015 – 16 AUD depreciated and has been between \$US 0.72 and \$US0.78 since (slow world growth, cuts to interest rates, shifts in commodity prices and TOT)

Australia is susceptible to exchange rate fluctuations and a depreciation may contribute to:

- Improvement in international competitiveness (impact on BOGS, particularly growth in services exports very recently).
- The valuation effect on that part of foreign debt denominated in foreign currency. This could be offset to some extent by dividends from foreign assets owned by Australians. Composition of NFL and mix of denominations of debt will contribute to the movement in CAD as % GDP

So....some discussion about volume and valuation effects is useful.



Source: Australian Bureau of Statistics 5302

From RBA speech about our *external position in April 2017*:

The narrowing in the net income deficit from late 2010 to late 2013 mostly reflected a decline in income payments on Australians' foreign debt and equity liabilities.<sup>[8]</sup> The lower average yield paid on Australian foreign debt was due to a combination of declines in Australian interest rates and an increase in the share of Australia's foreign debt attributable to the Australian Government, which pays a lower rate of interest than private sector borrowers. The decline in the payments on equity liabilities was a result of lower profitability of the mining sector. Because Australia's mining sector is majority foreign owned, a reduction in the profitability of that sector gives rise to smaller payments to the foreign owners, either in the form of dividend payments or reinvested earnings, thereby reducing the net income deficit.

Since 2013, the reduction in the net income deficit has instead reflected an increase in returns on Australian residents' offshore equity holdings. These increased returns are directly related to the determinants of the shift towards a net equity asset position namely, continued flows into offshore equity by Australian superannuation funds and the depreciation of the exchange rate, which increases the Australian dollar value of dividend receipts.

In the most recent national accounts, profits of private corporations rose by more than 15 per cent – the second largest increase in the history of the accounts – driven by a huge rise in profitability in the mining sector, in turn a reflection of the recent sharp rise in the prices of coal and iron ore. Based on company announcements, some of these profits are likely to be distributed to foreign owners as dividends. Moreover, to the extent that mining sector profits remain high over the next quarter or so, we could expect to see income outflows as these profits are distributed to foreign owners, all other things being equal. This is likely to increase the net income deficit in coming quarters, but not contribute to gross capital inflows to the mining sector, in contrast to previous periods of high profitability, when profits were reinvested to fund increased investment spending.

#### **Some noteworthy trends:**

Firstly, sizeable capital inflows have continued to fund mining investment, in particular large LNG projects. Whereas these (notional) flows during the mining investment boom mostly reflected reinvested earnings, much of the more recent flows have been (actual) transfers from offshore affiliates. As these LNG projects transition into the production and export phase, we would expect to see these inflows moderate. Moreover, some of these profits are likely to be paid out to offshore owners as dividends rather than reinvested. Secondly, there has been continued appetite from foreign investors for Australian government debt, but this needs to be measured carefully given the increased participation of foreign investors in the domestic repo market. The third development has been the continuation of little net capital flows either to or from the banking sector, but within that, a notable change in the composition of the investor base, particularly for short-term debt.

#### **External stability outlook**

Since the 1990's, Australian's external stability has not been a matter of significant concern. In contrast to many other developed nations, the economy has experienced consistent growth, Government debt has been low and currency relatively strong. However, discussed below are some factors that could potentially cause future disruption to external stability:

##### **The vicious trade deficit – debt cycle**

The high foreign debt means any further significant improvement in the Current Account deficit will be difficult. A 'vicious cycle' can therefore be created whereby high debt leads to higher interest payments, which leads to a higher Current Account deficit, requiring more debt. A rise in interest rates, or a fall in the value of the \$A, could exacerbate this cycle.

##### **A correction in the terms of trade**

Over recent years Australia's Terms of Trade has been at relatively high levels. Nonetheless, the Australian economy is vulnerable to further downward shifts, when commodity prices fall.

## SGS Trial Examination 2017

**Q28 Discuss the role of the government in attempting to achieve environmental sustainability in Australia.**

| Criteria                                                                                                                                                                                                                                                                                                                                                                                                                                                                | MARKS   |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| <ul style="list-style-type: none"> <li>Demonstrates extensive knowledge to develop a logically sequenced answer that clearly discusses <b>the role of the government in attempting to achieve environmental sustainability in Australia..</b></li> <li>Uses relevant data to support a contemporary &amp; comprehensive discussion</li> <li>Integrates economic terms, concepts, issues, relationships and theory in a highly competent manner</li> </ul>               | 17 - 20 |
| <ul style="list-style-type: none"> <li>Good use of appropriate knowledge to develop a logically sequenced answer that clearly discusses <b>the role of the government in attempting to achieve environmental sustainability in Australia.</b></li> <li>Sound use of economic terms and applies economic concepts and relationships</li> </ul>                                                                                                                           | 13 - 16 |
| <ul style="list-style-type: none"> <li>Uses correct and usually relevant information to develop an answer that discusses examines the <b>role of the government in attempting to achieve environmental sustainability in Australia.</b></li> <li>The discussion of the influences is flawed in places and there is a lack of relevant data</li> <li>The use of economic terms and economic concepts and relationships shows some weaknesses in understanding</li> </ul> | 9 - 12  |
| <ul style="list-style-type: none"> <li>Lacks any development of a suitable response</li> <li>Makes minimal use of data to support discussion</li> <li>The use of relevant economic terms, concepts and relationships is absent</li> </ul>                                                                                                                                                                                                                               | 5 - 8   |
| <ul style="list-style-type: none"> <li>A response that reflects a standard barely above a non - attempt</li> </ul>                                                                                                                                                                                                                                                                                                                                                      | 1 - 4   |

Marks 20 - 0, 19 - 1, 18 - 5, 17 - 7, 16 - 2, 15 - 4, 14 - 7, 13 - 1 and less than 10 - 2

### Comments:

- This question was possibly the easier of the two to answer but scored a lower median mark because answers were not comprehensive enough.
- A definition of environmental sustainability was necessary
- Boys continue to write long, descriptive paragraphs with lots of unrelated points – more planning required

### Answers could include:

Environmental sustainability is a major objective of Australian government economic policy. It refers to achieving rates of renewable resource usage, the level of pollution, and the depletion of non-renewable resources that can be continued on a sustainable basis:

- The rate of harvest should not exceed the rate of regeneration
- The rates of pollution and the generation of waste products by households and industry should not exceed the capacity of the environment to assimilate such waste. A sustainable rate and level of waste disposal should be achieved through recycling and the adoption of more efficient and clean technology to reduce carbon pollution.
- The depletion of non-renewable resources (such as coal, oil and gas) should involve the development of renewable substitutes for these resources. The movement to cleaner sources of energy and reduced reliance on coal fired electricity generation is taking place in Australia but at a slower pace compared to other advanced emerging countries.

Environmental sustainability is linked to the concept of Ecologically Sustainable Development (ESD) which is a situation where the rates of usage of environmental resources by current generations should not compromise the ability of future generations to use or enjoy these resources. The goal of achieving ESD therefore involves achieving intergenerational equity in the use of environmental resources.

Different govts, both domestically and globally, have regarded this goal with different levels of priority. The case for intervention lies with the concept of **market failure**; ie the market fails to produce socially optimum outcomes with regards to the environment. This is associated with the concept of **negative externalities**, where the cost of a transaction between the buyer and seller also impacts on a 3rd party; eg with pollution.

Kofi Annan (ex UN Secretary-General) described Australia as a 'free rider' with respect to climate change in 6/15. Indeed, the ***Stern Report (2006)*** describes climate change as '***the greatest market failure that the world has seen***'.

Another damning report was the ***Garnaut Report (2008)***. Instigated by the Labour Govt to study the impact of climate change. The report found that the consequences for Australia of doing nothing would be severe including:

- Reduce our GDP by 4.8%, consumption by 5.4% and real wages by 7.8% by 2100;
- Cause permanent damage to sensitive areas such as bleaching of the Great Barrier Reef due to rising ocean temps and loss of up to 80% of Kakadu wetlands;
- Damage to our tourist industry;
- Increased incidence of skin cancer, heat stroke and malaria;
- Increased frequency and duration of drought in southern Australia causing a decline in agricultural production;
- Loss of flora and fauna.

In his final report Professor Garnaut recommended that Australia should immediately express its willingness to reduce carbon pollution by 25% by the year 2020 as part of a global agreement that stabilises carbon pollution at 450 ppm (parts per million).

## POLICY OPTIONS

### 1) COMMAND & CONTROL

Much environmental intervention takes the form of legislation to prohibit/limit emissions and other activities, which deals with the problem directly. However, some (economists) say that regulation does not give the best trade-off between eco growth and env quality as it does not create incentives to find cheaper ways of reducing env damage.

Successful examples include:

- Global banning of cfc's at the Montreal Protocol in 1987 (see later);
- Banning of leaded petrol by the Aust govt, phased out by 2002;
- Setting targets; eg Australia had a renewable energy target (RET) of 20% of all energy consumed by 2020. But has in 5/15 been reduced from 41,000 gigawatt hours to 33,000 gigawatt hours; ie decrease to 16%. Also we have pledged to ↓ our carbon emissions by 26 – 28% by 2030 from 2005c levels (Paris Agreement -see later)

## ECONOMIC INSTRUMENTS

Can take several forms inc

- ***Subsidies***; eg of renewable resources as per 2010/11 budget which allocated \$652 m to the Renewable Energy Fund/Clean Energy Future. This was confirmed in the following budget but severe cutbacks under Abbott;
- ***Refundable Deposit Schemes***; eg South Australia's scheme for bottle re-cycling;

- **Taxation** to discourage production and/or consumption by raising prices. Also known as the 'polluter-pays' principle, although obviously prices can be passed on to consumers but it does give producers incentive to cut emissions. Also yields revenue for govt. Carbon Tax (2012) was an example – See notes from Topic 3: Eco Issues; Chap 12: Env Sustainability;
- **Tradable Permits** where govt sets pollution 'limit' and firms are awarded or bid for permits at auction. Again gives firms incentive to cut emissions with potential to re-sell permits to firms in need and gives govt revenue source - See notes from Topic 3: Eco Issues; Chap 12: Env Sustainability;
- **Creation of Property Rights** where govts legislate to create private property rights over environmental assets (eg fishing licences/quotas). Buyers of the asset have a proprietary interest in preserving the asset and avoiding exploitation through underpricing but system may not be practical or politically acceptable.

### Australia's Environmental Sustainability Policy & Legislation

The Australian Government has an Environmental Sustainability Policy which covers issues such as the following:

- Energy use
- Greenhouse gas emissions and ozone depleting substances
- Suppliers, products and materials use
- Office waste, building waste, and resource recovery
- Potable water use and waste water

Specific Australian government legislation and policies that are relevant to energy use, greenhouse gas emissions and ozone depleting substances include the following:

- *The Environment Protection and Biodiversity Act 2010*
- *The Ozone Protection and Synthetic Greenhouse Gas Management Amendment Act 2010*

### Australia's current environmental policy - **LIBERALS' DIRECT ACTION PLAN, 2014**

The former Abbott government abolished the carbon tax with effect from 1<sup>st</sup> July 2014. Coalition government under Prime Minister Malcolm Turnbull has used a Direct Action Plan to reduce carbon emissions. This is being done primarily through the Emissions Reduction Fund.

- Does not include any specific long-term targets but expected to meet previous Govt's commitment to ↓ Australia's greenhouse gas emissions by 5% (on year 2000 levels) by 2020, at the lowest cost;
- Centrepiece is the Emissions Reductions Fund (ERF) - = \$2.55 bn over 4 years for firms as an incentive to meet or fall below their long-term average direct emissions rate;
- Initially there was creation of a \$525 m 'Green Army' - = 15,000 people by 2018 earning between \$10 - \$16 per hour (which is < min wage of \$16.87 per hour but > Newstart Allowance/Dole of \$255.25 pw) to undertake environmental projects BUT NOW TO BE DISBANDED;
- Talk of new targets of LET (low emissions target) or even a CET (clean emissions target) but these have yet to be clarified

### The Finkel Review - CET

Australia's Chief Scientist, Alan Finkel delivered a review of Australia's electricity market in June 2017. The Finkel Review argued for the adoption of a Clean Energy Target to increase the amount of electricity generated from renewable sources by 2030.

## International Agreements

- **Montreal Protocol, 1987**

One of first successful global agreements with the banning of cfc's to reduce the hole in the ozone layer. Due to its widespread adoption and implementation, it has been hailed as an example of exceptional international co-operation, with Kofi Annan (then the Secretary-General of the UN) quoted as saying that **"perhaps the single most successful international agreement to date has been the Montreal Protocol"**. It consisted of two ozone treaties, which were ratified by 197 countries and the EU, making them the **most widely ratified treaties** in United Nations history. Production was phased out by 2000 and the ozone layer should recover to pre-1980 levels by 2050/2065.

- **Kyoto Protocol, 1997**

Kyoto was initially a 160 nation agreement that required industrialised countries to reduce their average national emissions by approx 5% below their 1990 levels over the period 2008 – 2012. Neither Australia, under Howard, nor the USA signed up as both felt that the highest polluting countries (in nominal terms, not per capita - China, India, etc) should have had the highest targets. However, these countries argued against this idea as they said that the problems had been created by western countries in the first place! Rudd did eventually ratify Australia's participation in 2007 as soon as he was elected but it was not turned into domestic law. It has generally been regarded as a very positive step forward for the environment but many would say it wasn't enough (and some even say it was too much).

- **Copenhagen Summit, 2009**

This was to negotiate future action following on from the Kyoto Protocol of 1997. Whilst it is true that no legally binding agreement was reached by the 194 countries at the Copenhagen Summit, there were some positives:

- Developed and developing countries have agreed to hold global temp increases to below 2%. This represents the first wide ranging agreement on 'dangerous' climate change;
- The fact that both developed AND developing countries have agreed is significant;
- Commitment towards transparency made;
- Developed countries have agreed to deliver U\$30bn in 2010 – 2012 to help developing countries and mobilise U\$100bn pa to support such climate change actions;
- Encouragement of related new technology and innovation;
- Immediate mechanism to reduce emissions from deforestation in developing countries.

So far about 120 countries have pledged their support and these make up 80% of total world emissions .... so not exactly a 'failure'.

Australia initially pledged to reduce emissions by 5% of their 2000 level by 2020; this was quite significant as it represents us reducing our emissions by 22% of the level to which they were projected to have grown. Furthermore, with our rising pop, this is a decrease of 28% per person/capita. Indeed, as at June 2013, we have made some significant progress towards this goal.

- **The Paris Agreement**

An historic global climate agreement was agreed to under the United Nations Framework Convention on Climate Change (UNFCCC) at the 21<sup>st</sup> Conference of the Parties held in Paris from 30<sup>th</sup> November to 12<sup>th</sup> December 2015.

The Paris Agreement set in place a framework for all participating countries to take 'climate action' by reducing their greenhouse gas emissions from 2020, building on existing international efforts in the period up to 2020.

Key outcomes of the Paris Agreement (which is a co-ordinated global plan to reduce carbon emissions and adapt to the impacts of climate change) include the following:

- A global goal to hold the average temperature increase to well below 2°C and pursue efforts to keep global warming below 1.5°C above pre-industrial levels.
- All countries are to set mitigation targets from 2020 and to review targets every five years with a view to increasing them after a global stock take of emissions.
- Robust transparency and accountability rules were drafted to provide confidence in countries' actions and to track progress toward achieving their targets.
- Promoting action to adapt and build resilience to climate impacts such as on agriculture, infrastructure and urban and rural populations.
- Financial, technological and capacity building support to help developing countries implement the Paris Agreement.

The Australian Government has an overall commitment to reduce greenhouse gas emission by 5% from 2000 levels by 2020. The Australian government's commitment under the Paris Agreement is a target of reducing emissions by 26%-28% below 2005 levels by 2030.

- Post-2020 emissions reductions targets announced with global average being -37%, with Switzerland highest at -51% and UK -50%. Australia is well below the average at -19%. USA is -43%, EU -33%, NZ -23% and Canada -16%.

**Trump's decision of 6/17 to pull the USA out of its commitments so future of this agreement is unclear...**

**Other International Agreements that could have been mentioned:**

- **The World Heritage Convention**
- **The Antarctic Treaty**

***See Current Economics, Riley 6/17 on Schoology for the full article on Environmental Policy***